(1700) TCT 2024 mentorship - Lecture 5A | TCT schematics - YouTube
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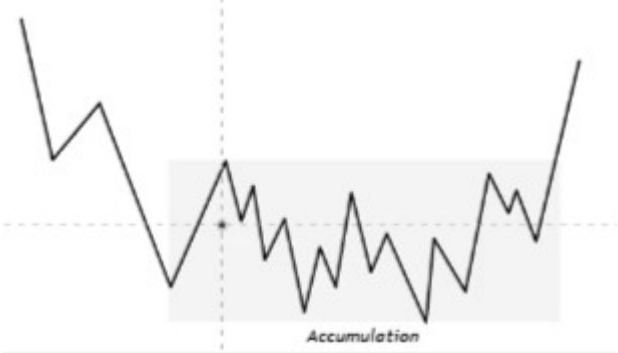
Transcript:

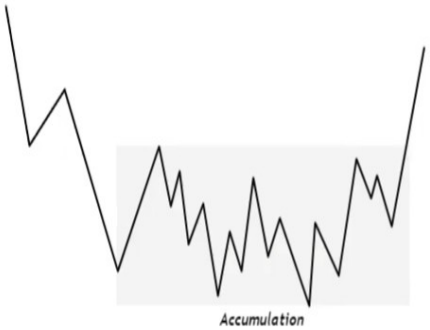
(00:02) what is up guys and welcome to lecture five of the TCT mentorship where I'm going to be teaching you everything that you need to know to understand TCT schematics yes guys we finally reached the point in the mentorship where we can talk about the juicy stuff the entry points confirmation triggers how to trade it take profit placement stop- loss placements all that good stuff okay so the reason why this lecture is called 5A is because I've decided to divide lecture five into two parts in this part I'll be teaching you everything you need
(00:39) to know about the TCT Concepts and the theory behind it and comparing it to Wyckoff schematics and how to trade it and then in 5B we'll get into examples real life examples in the charts so you guys can have a clearer view of of how it actually or what it actually looks like while trading it live okay so every range has a purpose okay a range will eventually either break towards the upside or

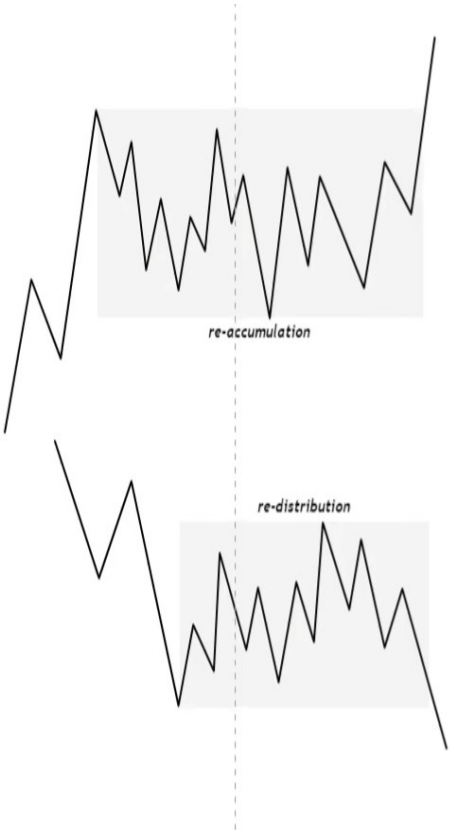
downside and we know now that only a market maker is able to move price significantly well a range breakout or a range breakdown is a significant move
(01:24) meaning that during the range formation there must have been some form of Market maker involvement prior to breaking and leaving your range okay and this lays the foundation for Wyckoff schematics so as you can see on the chart right here we have these different ranges well the purpose of this first range was to break towards the downside and the purpose of the second range right here was to break towards the upside this range end up breaking down this range end up breaking down

but then this range end up breaking up so each
(01:57) range has a purpose either breaking up or down and we can already know what the purpose is going to be by the way that price is behaving in the range and that is what Wyckoff is all about so first some terminology so you guys can understand Wyckoff better when we are trending down and we create a range that breaks towards the upside indicating a reversal that is what we call an accumulation

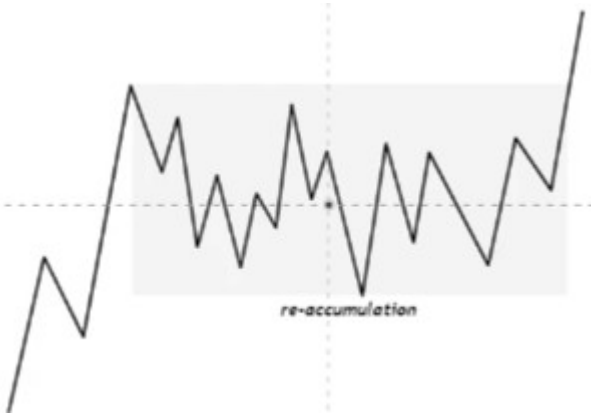


and where the accumulation was able to trade based on our set of rules that we will get into later that is up to the market but if you're are trending

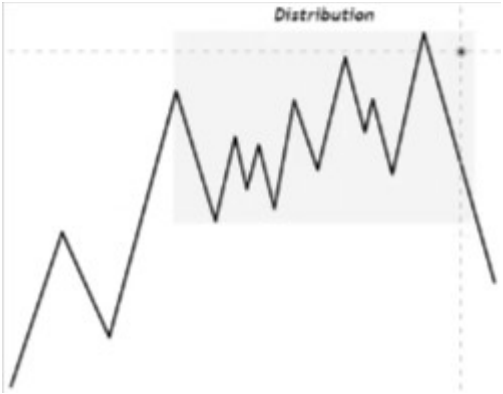




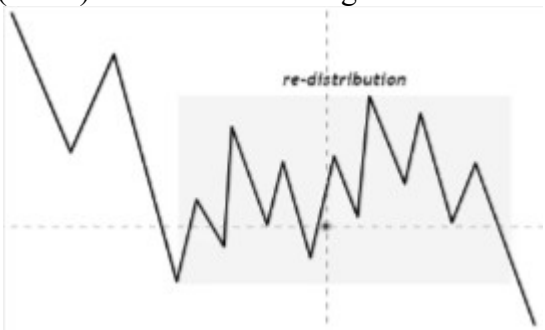
(02:43) down and you create a range that breaks towards the upside you have an accumulation if you're trending up and you create a range that breaks towards the upside indicating a continuation that's what we call a re-accumulation



okay and pay close attention an accumulation and a re-accumulation are both traded in the exact same way okay there are many people out there who think in accumulation and re-accumulation there's a difference the only difference is that an accumulation is when you're trending down and you form the range and a re-accumulation is
(03:27) when you're trending up and you form the range where both end up breaking towards the upside okay but the range itself and the way we trade the range is going to be the exact same now when we are trending up and we create a range that breaks towards the downside indicating yet again A reversal that is what we call a distribution



and again whether the distribution was able to trade based on our set of rules that we will get into later is up to the market when we're trending down and we create a range that breaks towards the
(04:06) downside indicating a continuation that's what we call a re-distribution

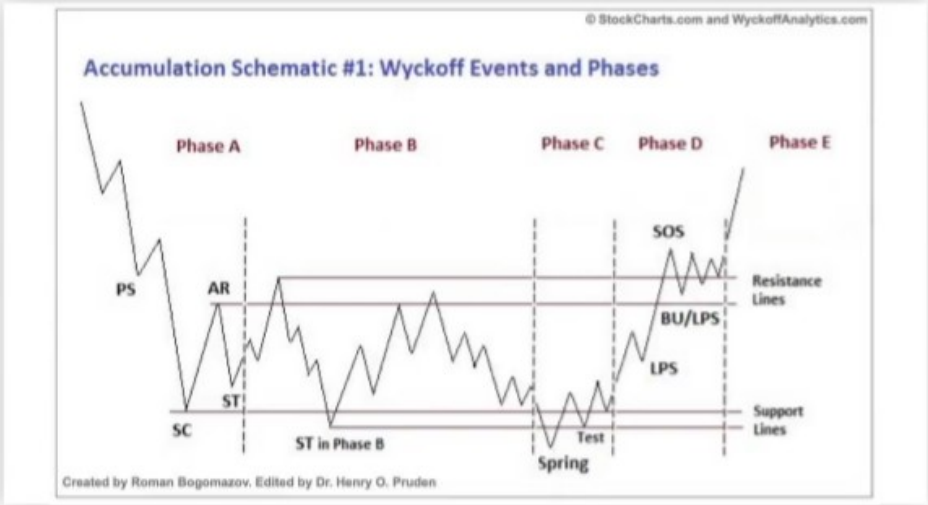


yet again guys a distribution and a re-distribution will both be traded in the exact same way I see many misconceptions out there of people pulling up different schematics for distributions and accumulations and re-accumulation and re-distributions but from my experience and my expertise it is 10 times more efficient and more profitable to trade them and and look at them from the exact same perspective where the only difference is what the market was doing prior to
(04:48) forming your range and creating your range but the range itself is going to be traded in the exact same way so now that you know the terminology behind an accumulation re-accumulation distributions re-distributions let's get and have a look at what Richard Wyckoff the creator of the Wyckoff schematics tells us to pay attention to when looking at accumulations and distributions so I have the PDF file of Richard Wyckoff this is him um he's a legend in the market and he's also where I have my name from because as you can see right
(05:25) here he says all the fluctuations in the market and in all the various stocks should be studied as if they were the result of a one man's operation let us call him the composite man who in theory sits behind the scenes and manipulates the stock to your disadvantage if you do not understand the game as he plays it and to your great profit if you do understand it I understand Market maker involvement I understand the composed men therefore making me the composite Trader Okay so if you look at the original schematics this is what you
(06:03) will find right here so he starts off with an accumulation schematic and he says right here this is accumulation schematic hash1 okay meaning an accumulation model one schematic regarding his original Wyckoff Concepts and you can see you have all these phases you have phase a phase b phase C phase D and phase e and then you have all these different letters of PS S C A R st St in Phase b a spring a test LPS bu/ LPS and SOS it is pretty complicated okay it is pretty complicated there are many different letters many different uh

Wyckoff Schematics

A successful Wyckoff analyst must be able to anticipate and correctly judge the direction and magnitude of the move out of a TR. Fortunately, Wyckoff offers time-tested guidelines for identifying and delineating the phases and events within a TR, which, in turn, provide the basis for estimating price targets in the subsequent trend. These concepts are illustrated in the following four schematics; two depicting common variants of accumulation TRs, followed by two examples of distribution TRs.

Accumulation Wyckoff Events



- PS—preliminary support , where substantial buying begins to provide pronounced support after a prolonged down-move. Volume increases and price spread widens, signaling that the down-move may be approaching its end.
- SC—selling climax , the point at which widening spread and selling pressure usually climaxes and

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(06:47) points in the chart that price needs to follow in order to comply and align with this original accumulation schematic and you have all these different phases it's it's it's pretty hard to find a distribution or in this case an accumulation schematic that meets all these requirements okay it's very hard and as you can see right here we have accumulation schematic hashtag 2 meaning an accumulation model two and then you have the same phases and then a few differences comparing it to one same for the distribution you

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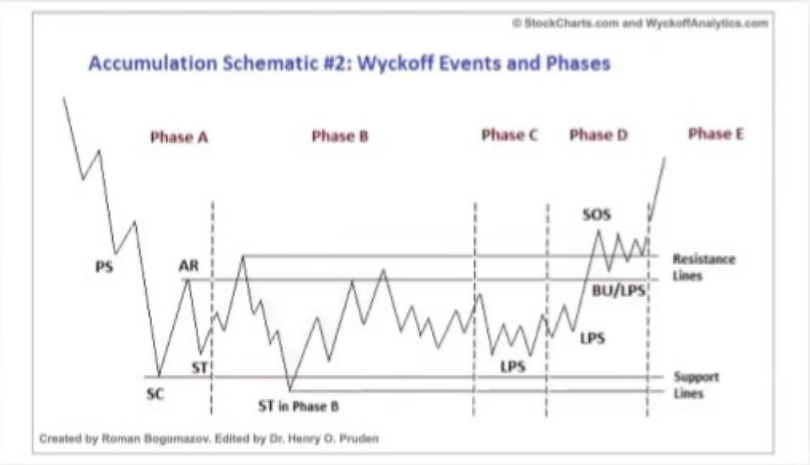
Accumulation Wyckoff Phases



Phase A: Phase A marks the stopping of the prior downtrend. Up to this point, supply has been dominant. The approaching diminution of supply is evidenced in preliminary support (PS) and a selling climax (SC). These events are often very obvious on bar charts, where widening spread and heavy volume depict the transfer of huge numbers of shares from the public to large professional interests. Once these intense selling pressures have been relieved, an automatic rally (AR), consisting of both institutional demand for shares as well as short-covering, typically ensues. A successful secondary test (ST) in the area of the SC will show less selling than previously and a narrowing of spread and decreased volume, generally stopping at or above the same price level as the SC. If the ST goes lower than that of the SC, one can anticipate either new lows or prolonged consolidation. The lows of the SC and the ST and the high of the AR set the boundaries of the TR. Horizontal lines may be drawn to help focus attention on market behavior, as seen in the two Accumulation Schematics above.

Sometimes the downtrend may end less dramatically, without climactic price and volume action. In general, however, it is preferable to see the PS, SC, AR and ST, as these provide not only a more distinct charting landscape but a clear indication that large operators have definitively initiated accumulation.

In a re-accumulation TR (which occurs during a longer-term uptrend), the points representing PS, SC and ST are not evident in Phase A. Rather, in such cases, Phase A resembles that more typically seen in distribution (see below). Phases B-E generally have a shorter duration and smaller amplitude than, but are ultimately similar to, those in the primary accumulation base.

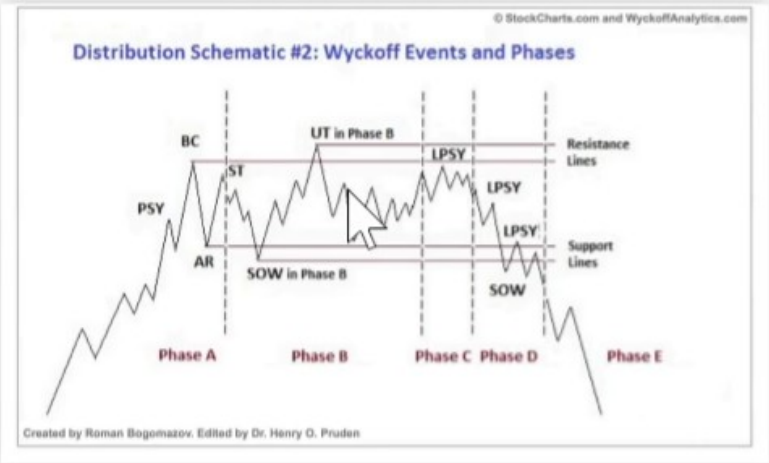
(07:23) have many different letters phase a b c d and e again but then the PSY the BC, AR, ST, UT, UTAD, all in different phases where the UTAD is exactly in Phase C and then the same for a distribution model 2 just a slight difference that you don't have the UTAD but you have that LPSY right here but again guys it's very complex it's always good to to have read it once okay because he does talk about Market maker involvement and you know the reasoning behind the phases and the points and the letter combinations in
(07:58) the chart but but if you want to have an actual trade using Wyckoff it's very hard to find it and to get it because many times price doesn't align with all these phases and all these points you know all these letter combinations in the exact phases Etc it's very hard it's very rare to find one okay there are a few out there but it's very hard to find one and you will not be a profitable consistent profitable Trader

um when you're watching everything that he is displaying right here but what I want you guys to do is

LPSY—last point of supply. After testing support on a SOW, a feeble rally on narrow spread shows that the market is having considerable difficulty advancing. This inability to rally may be due to weak demand, substantial supply or both. LPSYs represent exhaustion of demand and the last waves of large operators' distribution before markdown begins in earnest.

UTAD—upthrust after distribution. A UTAD is the distributional counterpart to the spring and terminal shakeout in the accumulation TR. It occurs in the latter stages of the TR and provides a definitive test of new demand after a breakout above TR resistance. Analogous to springs and shakeouts, a UTAD is not a required structural element: the TR in Distribution Schematic #1 contains a UTAD, while the TR in Distribution Schematic #2 does not.

Distribution Wyckoff Phases

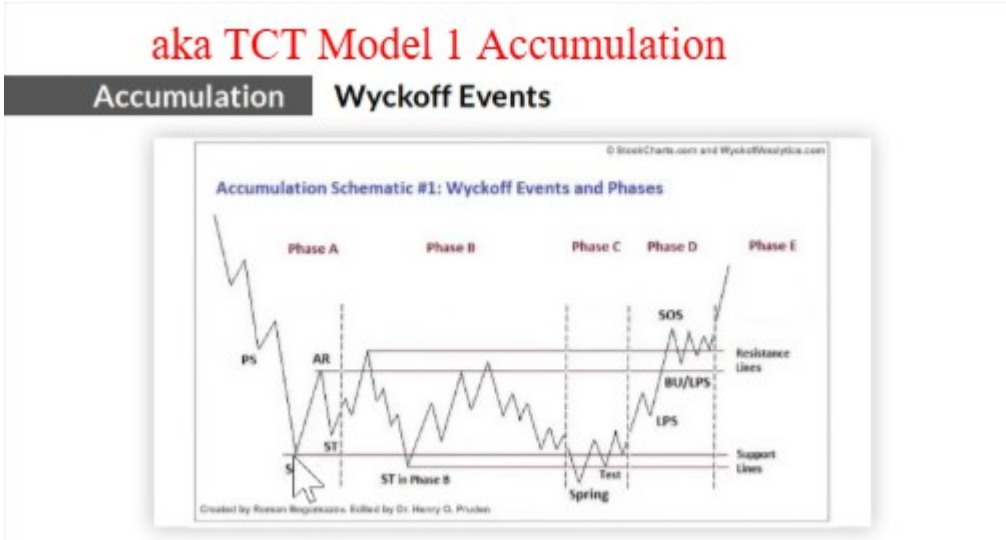


Phase A: Phase A in a distribution TR marks the stopping of the prior uptrend. Up to this point, demand has been dominant and the first significant evidence of supply entering the market is provided by preliminary supply (PSY) and the buying climax (BC). These events are usually followed by an automatic reaction (AR) and a secondary test (ST) of the BC, often upon diminished volume. However, the uptrend may also terminate without climactic action, instead demonstrating exhaustion of demand with decreasing spread and volume; less upward progress is made on each rally before significant supply emerges.

In a redistribution TR within a larger downtrend, Phase A may look more like the start of an accumulation TR (e.g., with climactic price and volume action to the downside). However, Phases B through E of a re-distribution TR can be analyzed in a similar manner to the distribution TR at the market top.

Phase B: The function of Phase B is to build a cause in preparation for a new downtrend. During this time,

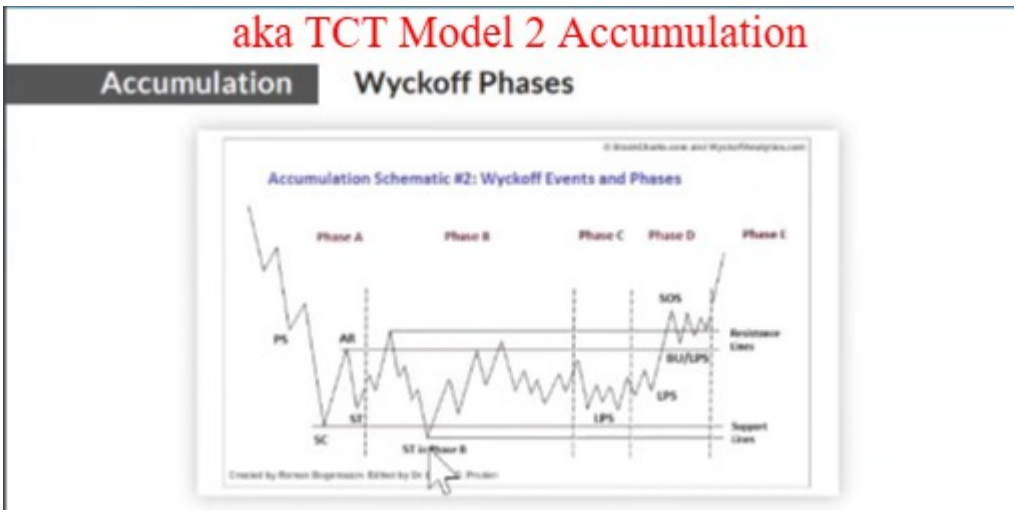
(08:33) that you guys already understand ranges and you guys understand range deviations and you guys understand liquidity right and if you pay close attention is there something that already catches your attention now that you understand ranges and you understand deviations and uh liquidity



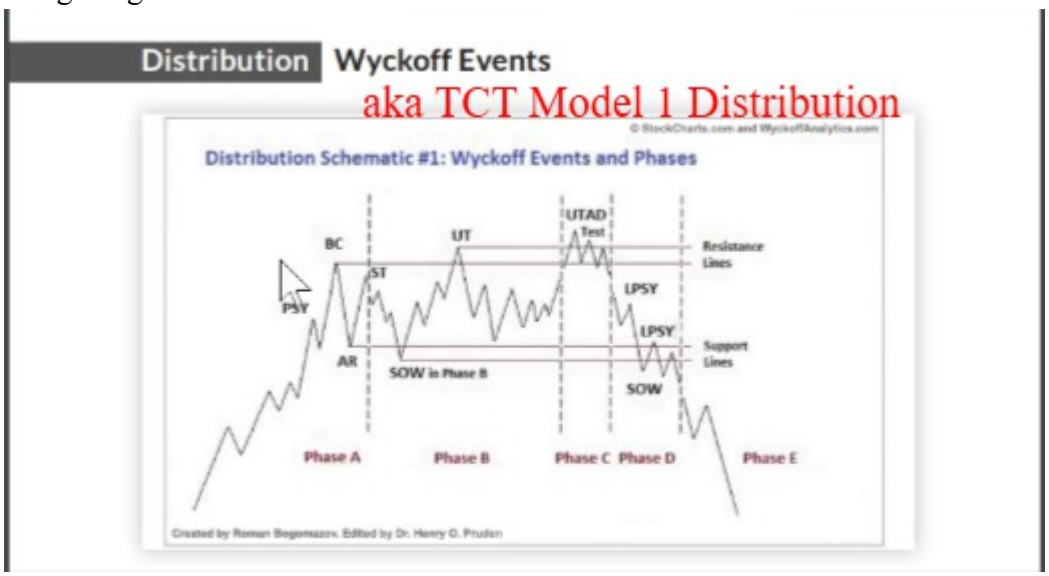
giving you guys a second here well if we look at this Wyckoff accumulation schematic one what we basically see is that we have a range you can see our resistance lines and our support lines they are kind of equal to our range low and our

(09:19) Range High and from there we deviate the low once so SC is representing our range low so for an accumulation schematic model one what be basically are doing is we have our range low we deviate it once and then we deviate it once more where each deviation is lower than the previous one so you basically have a range low with deviation one and deviation two each deviation going lower than the previous one and that's kind of it and that you now that you understand liquidity you can already make the conclusion of why they're doing what they're

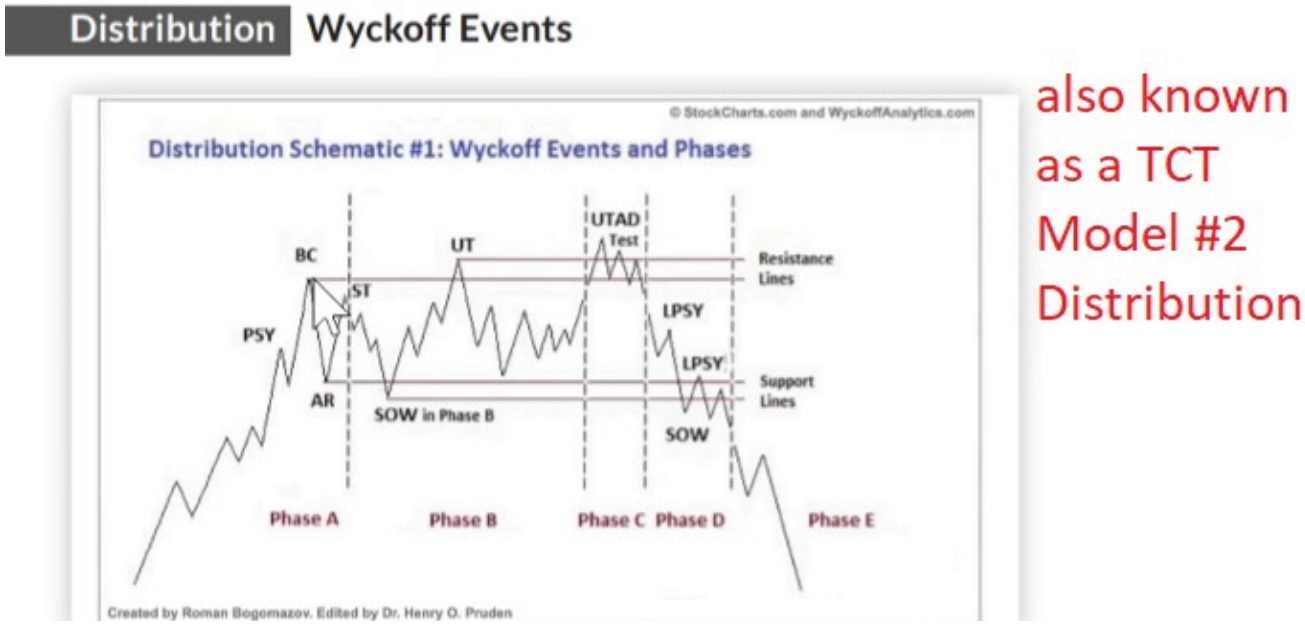
(10:02) doing in order for it to be an accumulation to push price higher because like we just discussed in the previous lecture we have a range low we grab that sell-side liquidity once we grabbed that sells side liquidity twice making the market maker able to fail his buying positions and to make prize reverse uh towards the upside so what an accumulation schematic one basically is very simplified right is is range low, deviation one, deviation 2 where each deviation goes lower than the previous one for an accumulation schematic model



(10:41) two is the exact same way you have your range low you have deviation one followed by a higher low you can ignore all the phases ignore all the PS and the ARs and the STS just look at it from a range low deviation one Higher low for an accumulation schematic model two a Wyckoff accumulation schematic model too now for distribution it's the opposite way we have our Range High we have our range low we grab the Range High once and then we take the deviation high once more so Range High with two deviations where each deviation



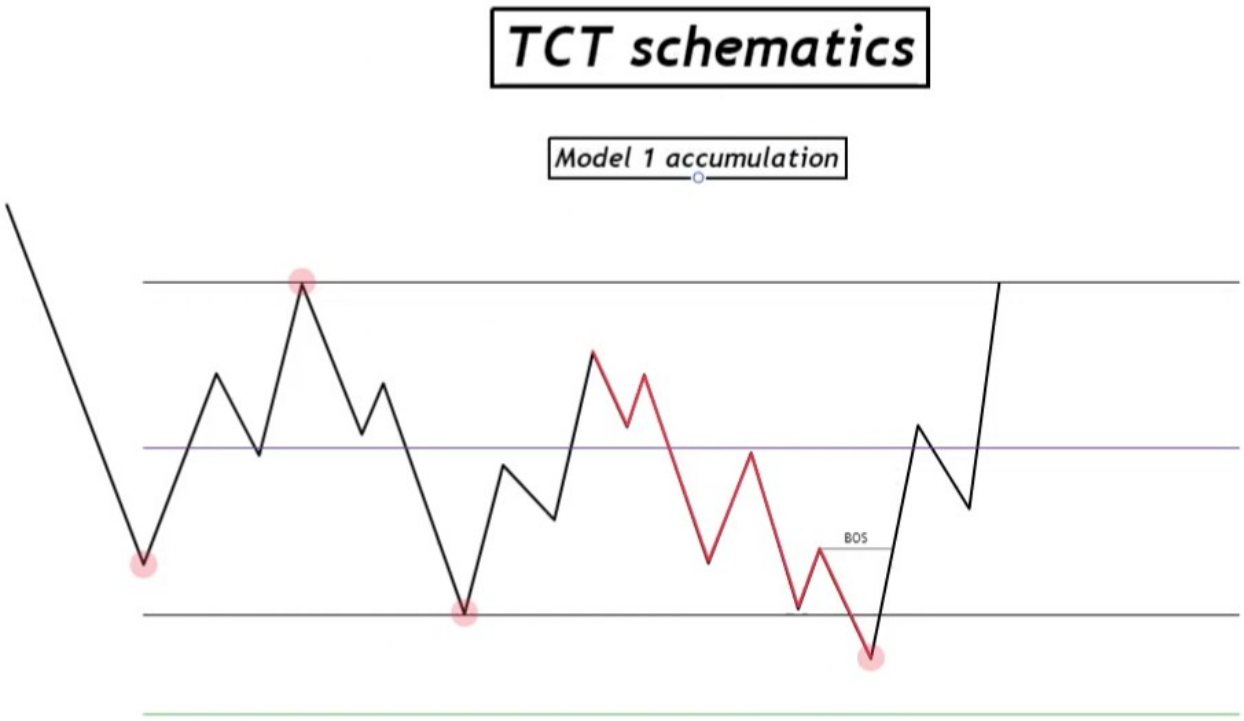
(11:16) is higher than the previous one and it makes sense that they're doing this now because you understand liquidity they're grabbing buy side liquidity twice and making price revers to the sell-side liquidity because only by grabbing this side liquidity can they fill their short positions and for a model two



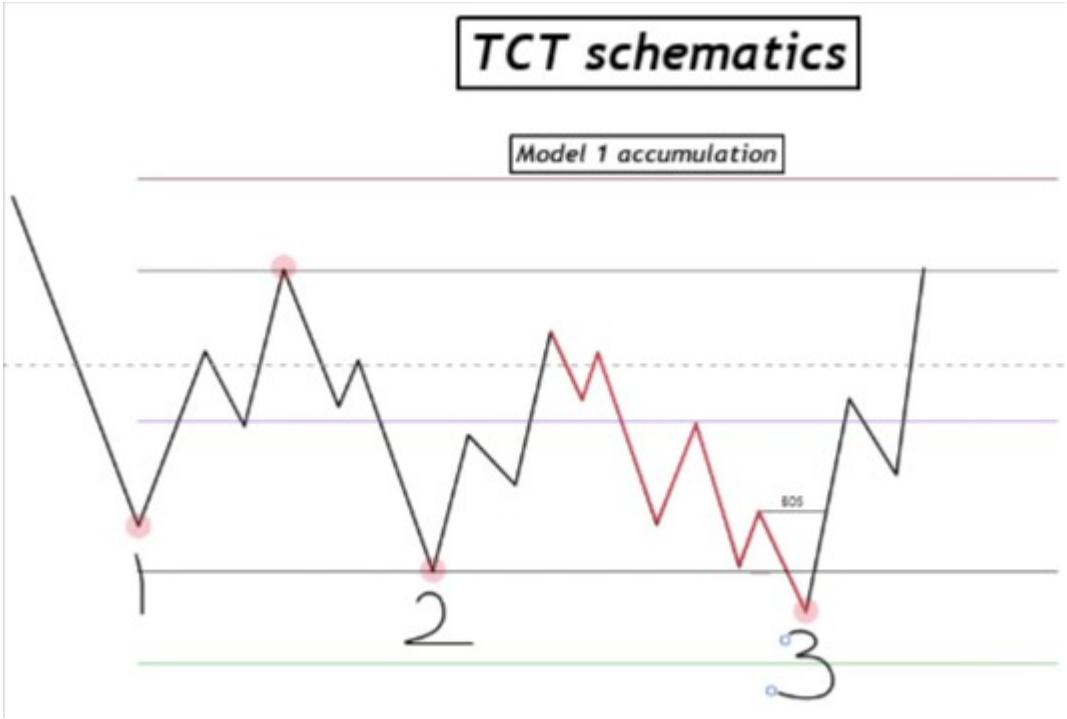
you basically have your Range High a deviation one followed by a lower high that's basically it right is very simplified that's basically it so this is where we flow over into TCT schematics okay so TCT schematics are Wyckoff schematics

(12:08) simplified and set up in a way that we can actually trade them effectively and in a profitable manner okay I will always give credits to Wyckoff himself he laid the foundation okay here at TCT we

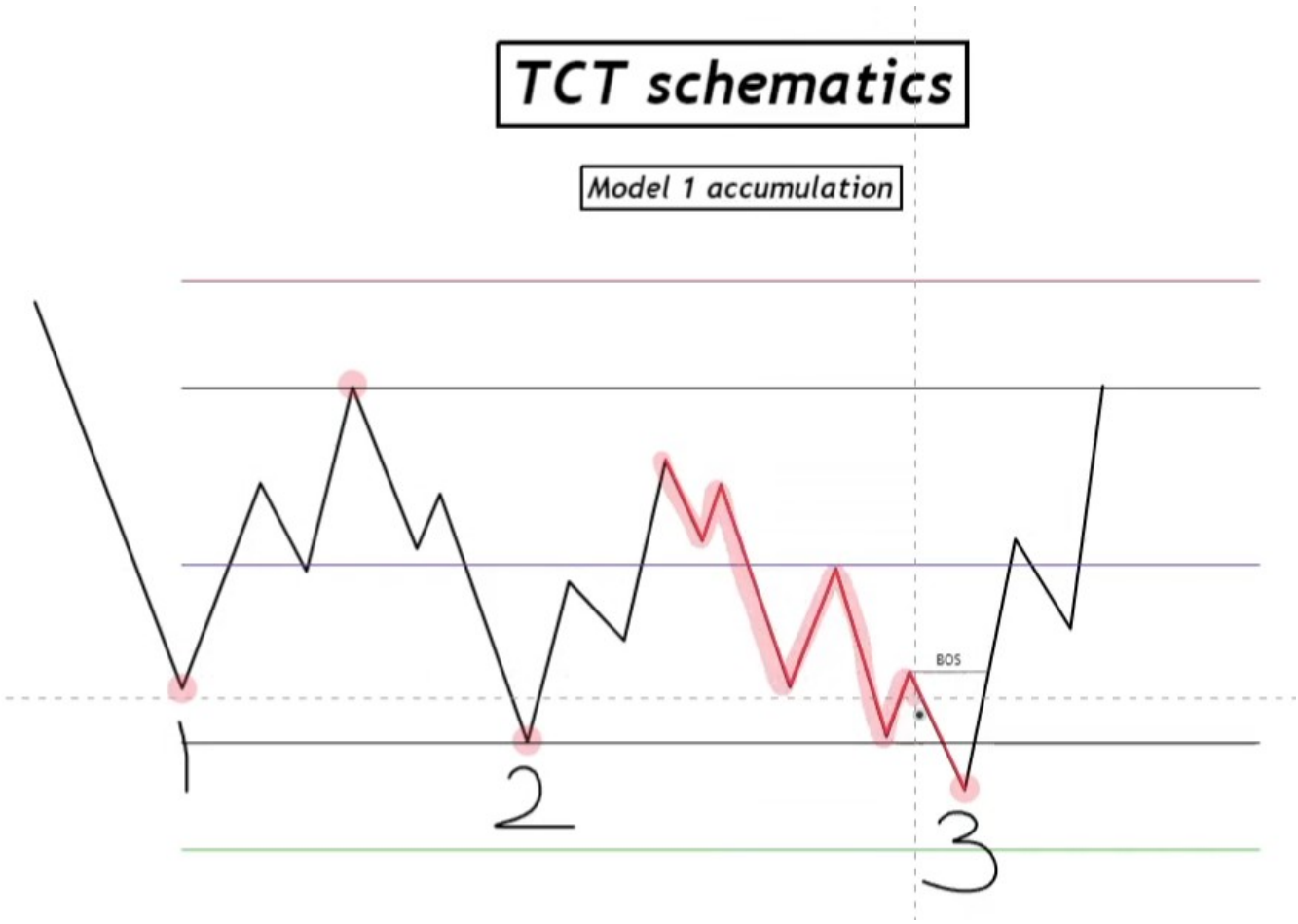
made it simplified and added our own of rules so we can actually trade them in a profitable manner okay so for a TCT model one accumulation schematic what you want is you want to have a range formation okay you want to have a range formation applying our range through so we're trending down in a downtrend we pull our range from bottom to top okay



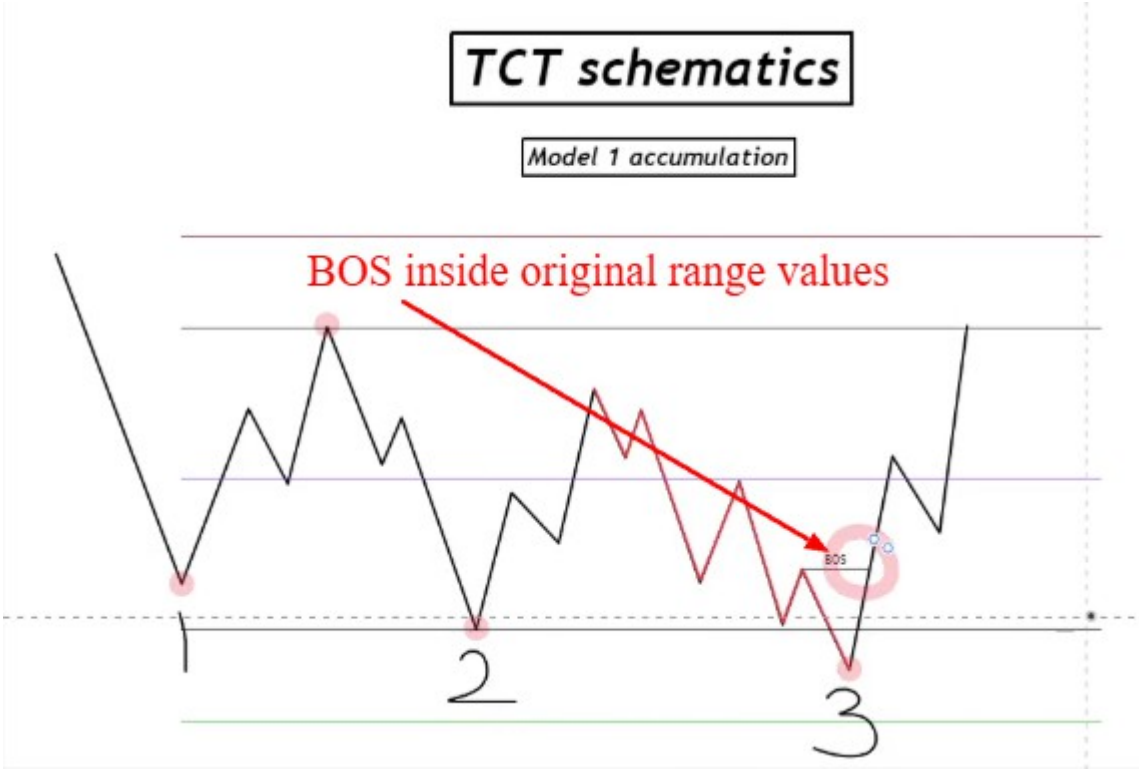
(13:01) and when price comes back down towards the equilibrium right here that is when we confirm our range so you're just applying your range using your range confirmations and the rules now after confirming your range what you want to see is you want to see that first deviation of that range low coming back inside your range again applying our deviation rule that's why I have the DL2 on my chart right now you do not want to see price close below your DL2 to find or to still call it a deviation now we have the deviation it's
(13:43) inside of our DL2 and we come back inside okay making it a valid deviation what follows next for a model one is that we take out the low one more time so after deviation one we extend our r low to the new deviation low and when we take that low one more time again applying our range deviation rules that is when we can have a potential TCT model one accumulation schematic we have our range that gets confirmed by our range rules we have our deviation one that gets confirmed by our deviation rules and then we get a
(14:23) deviation two right each deviation is lower than the previous one now to confirm a TCT model one accumulation schematic we need to watch our Market structure from the highest point between tap two and tap three down towards our third tap low so this is our tap one our range Lads are tap one our deviation our first deviation is our top two and our second deviation is our top three a TCT schematic will always be a three tap model to confirm a TCT model one accumulation schematic we need to watch our structure from the highest point



(15:12) between tap two and tap three down towards our third tap low what is the highest point between tap two and tap three on this chart well right here this is our highest point so what we do is we watch our structure from the top down towards that third tap which is represented here in our red marker structure drawing that's making lower highs and lower lows okay because that's the only way to get from point A to point B when that downwards Market structure breaks back to bullish after deviating that second Tap that is when we confirm our TCT



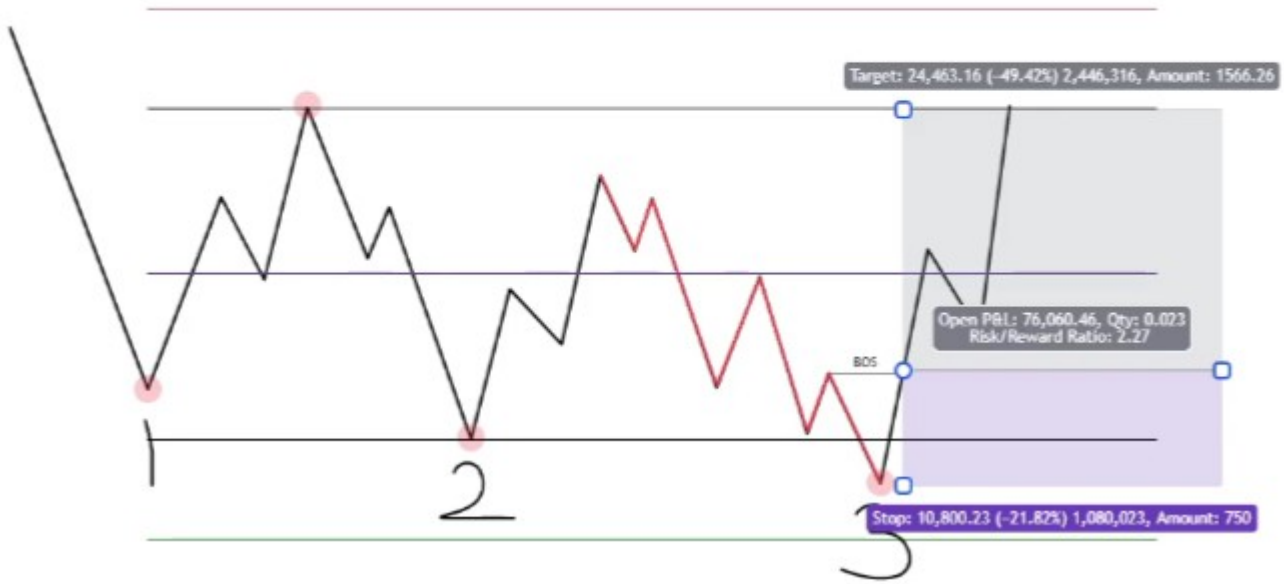
(15:57) model one accumulation schematic and that is where you can go long now it is always safer and a better play to watch for this break of structure and to watch the market structure that breaks back to bullish when the break of structure is inside of its original range values what do I mean look at my red lines okay those are my original range values you can see that the break of structure is inside my original range value



if you have a break of structure that's outside of the black line for example down here that's always riskier it's always
(16:37) better to wait for a breakup structure that's inside of this range where the Range High is your uh Black Market structure high and your range low is your uh black mark structure low okay so when this happens and you get that breaker structure that's inside of your original range values after having three valid tabs that's when we go long okay where your stop loss will go below your third tap low and you target the Range High yes guys for a TCT schematic the opposite range extreme point in other words your Range High so

TCT schematics

Model 1 accumulation

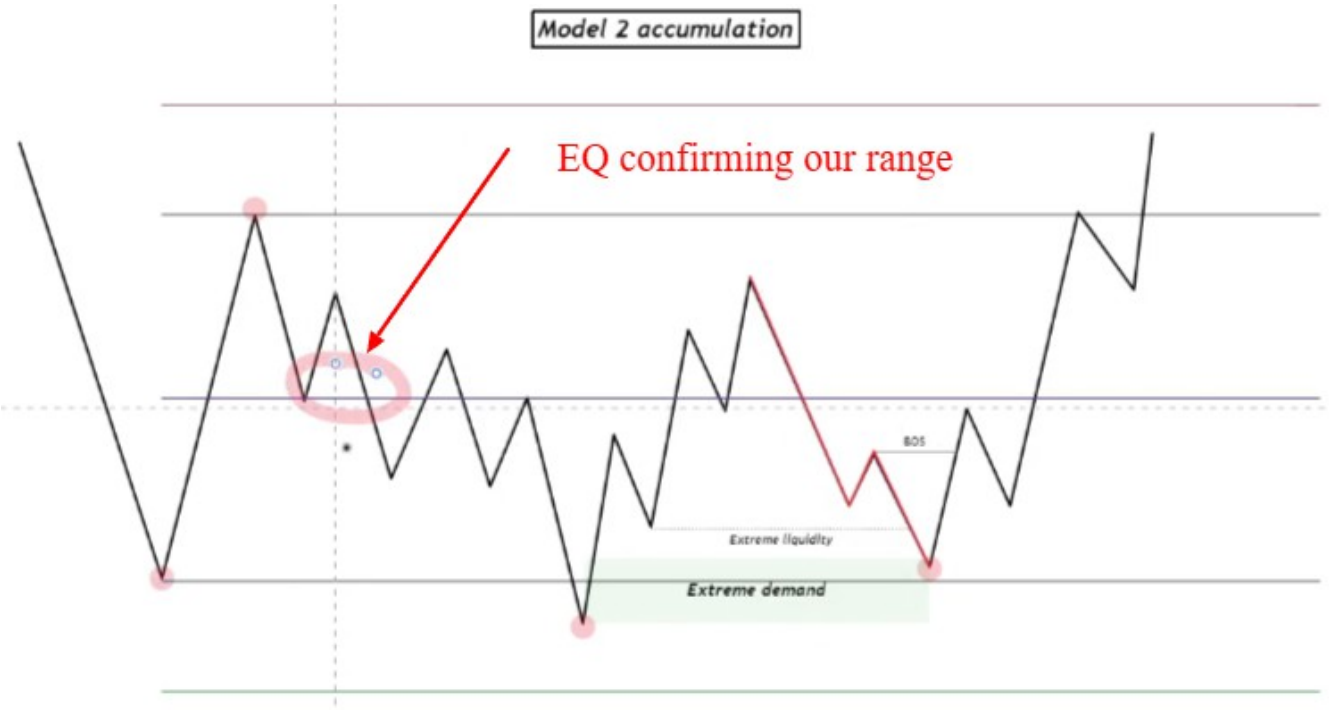


(17:15) we're deviating the low so the opposite range extreme point is your Range High that is the target compare that to Richard Wyckoff is completely different okay because he's talking about massive reversals and continuations no when we're trading a TCT schematic the target is the opposite range extreme point so for an accumulation that will be the Range High anything beyond that Range High is extra okay because if we build context in the chart and maybe we're at a potential key Pivot Point following our main Mark structure pool that can cause

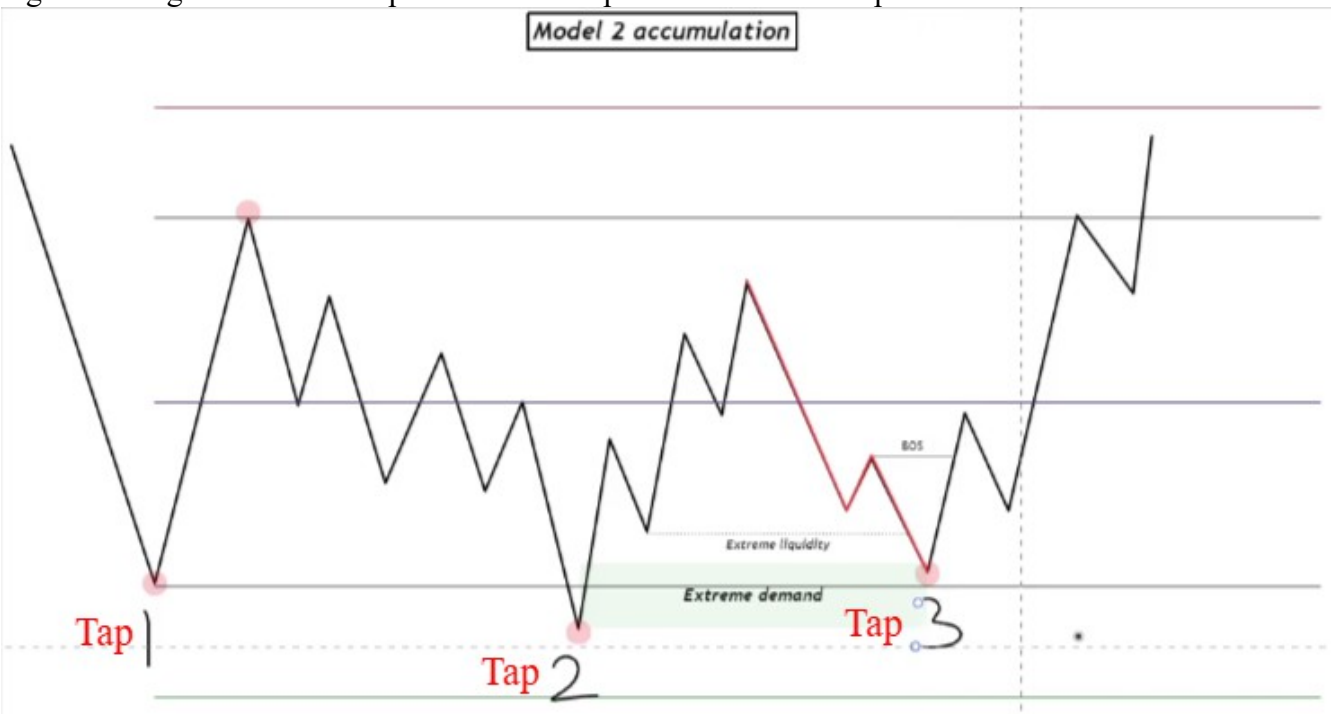
(17:55) some sort of follow through but that's what we'll get into later in all the EX examples okay but the technical Target the theory Target for TCT schematics will always be the Range High so for model one we have three tabs two deviations of our original and initial range flow each deviation follows the rules of a deviation meaning it will not exceed and close below our DL low and to confirm our TCT model the accumulation schematic we watch our structure from the highest point between tap two and tap three down towards our

(18:36) third tap low and when that breaks back to bullish and preferably that break of structure is back inside your original range values that's when we go long with our stop loss below our third tap low and we target the Range High now for a TCT model 2 accumulation schematic

we want to have a range formation again applying our range rule okay so we're trending down for example in this situation we're trending down we pull our range from bottom to top there we go when we come back to the equilibrium that's when we confirm the range

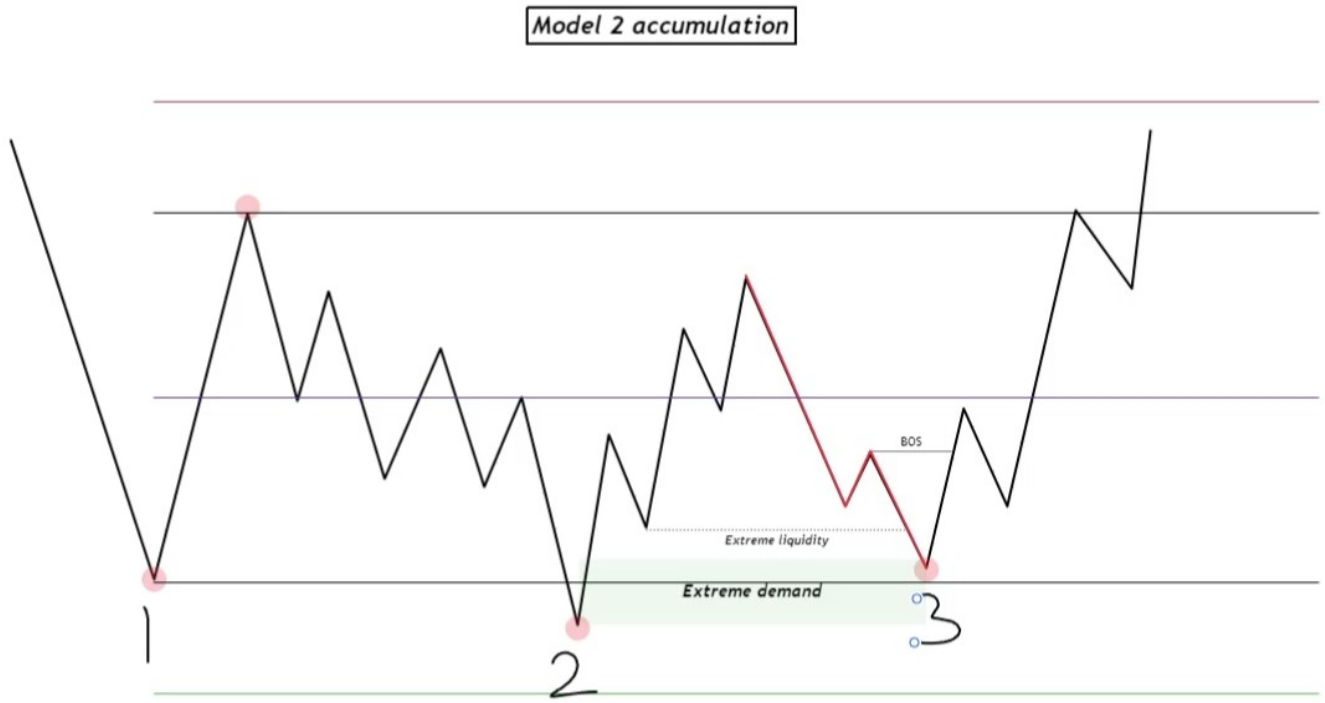


and we
(19:17) want a deviation of our range low following our deviation rules using our DL2 followed by a higher low right so we have tap one we have tap two and we have tap three

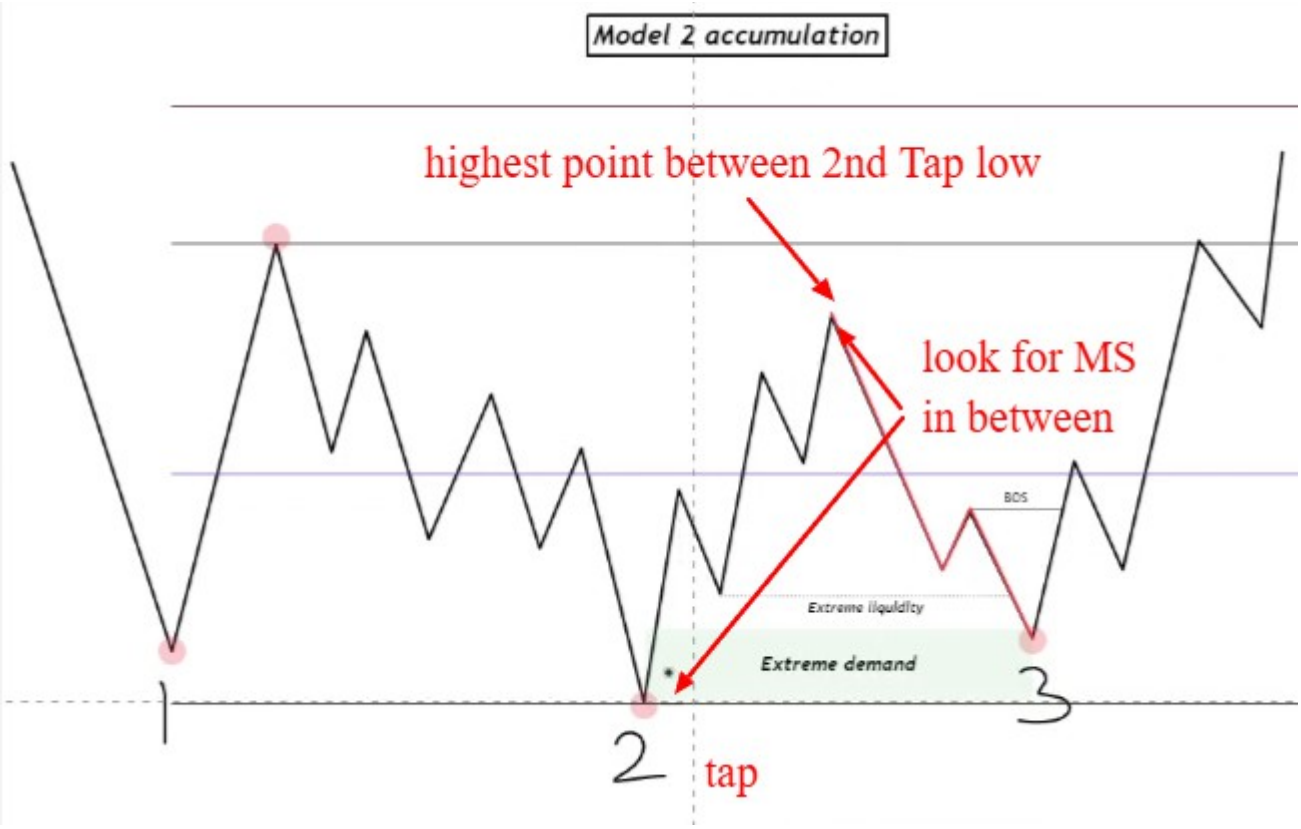


where the only difference between a model one accumulation schematic and a model two accumulation schematic is that when we are trading a model two our third tap is a higher low and for model one is a lower low it's again a deviation of your second tap low but here it's a higher low but pay close attention because this higher low is not just a random higher low and it meets it
(20:01) needs to meet some requirements in order to be a valid third tap in order for your third tap to be valid it needs to grab extreme liquidity and or it needs to mitigate extreme demand so it can do both it can grab extreme liquidity it can mitigate extreme demand at the same time but only one is needed to

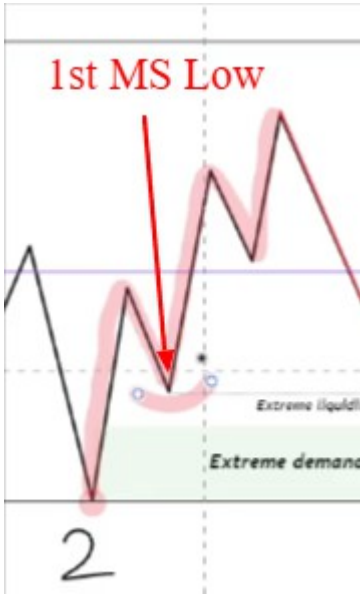
meet the requirement so if we take extreme liquidity without hitting extreme demand that's fine or if we mitigate extreme demand without taking extreme liquidity that's also fine we need to eat we need to meet one of the two but it can also



(20:50) do both now what is Extreme liquidity and what is Extreme demand I've already taught you guys what liquidity is and what demand is that's why this mentorship is set up in a way where first we learn about demand second we learn about liquidity you know and then we flow over into the TCT rules because that way you gradually understand everything now I told you guys regarding liquidity that your most or your or your your areas that have the most liquidity are either your Range High and your range low or your Market structure high
(21:30) and your Market structure low right so when I'm talking about extreme liquidity I'm referring to the last liquidity Point remaining before taking your range high or low we're talking about accumulations now so when I'm talking about extreme liquidity I'm talking about the last liquidity Point remaining before taking your second tap low which is your range low now okay if we extend it down boom because we know that the range low is a liquidity point and with a model one we take that liquidity
(22:08) point one more time but for a model two we do not because it's a higher low so the extreme liquidity point is the last liquidity Point remaining in the range prior to taking your range low now often times guys often times your extreme liquidity will simply just be your first Mark structure low if you pull your mark structure from the from the second tap low up so this is our second tap we just look what is our Mark structure from our second tap low up towards that highest point between tap two and tap three so this is tap two
(22:52) that's tap three this is the highest point we watch watch The Mark structure between that highest point and our second tap low from bottom to top

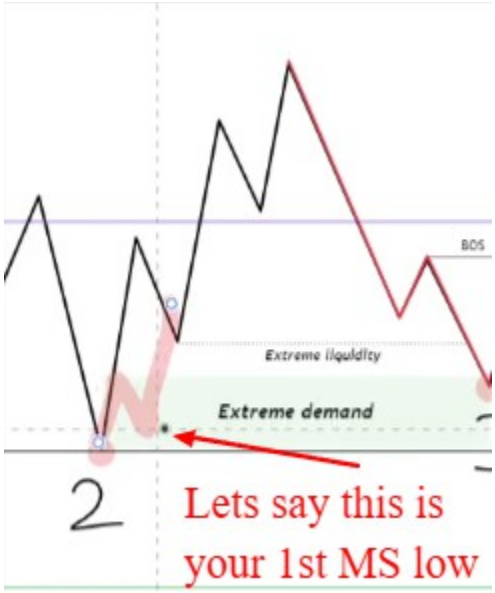


and we can find this we have a higher low and a higher high following our six candle rule okay and that First Market structure low that was created



that is often times your extreme liquidity because it is a market structure low and it's the last low remaining before taking your range low making it a liquidity point and also extreme liquidity in general it's already a liquidity point because it was

(23:30) a market structure low and we know that market structure highs and lows are liquidity points and it's the extreme liquidity because it's the last Market structure low remaining before taking your range low now if you follow the six candle rule but that first market low is extremely close to your range low let's tray the the red drawing was your market structure right here



but your mark low is extremely close to to your range low where you will most likely take the range low and your market low if you come towards that Mark structure low that's when we can use the second

(24:10) one okay that's when we can use the second market structure low created it's an exception okay but if your Market structure low applying the six candle rule is extremely extremely close to your second tap just use the second one that's a bit further away okay because if you take that literally first Mark structure low that technical first Mark low you'll probably take both and you will not have a model 2 anymore so that is Extreme liquidity if we are trading a really really really low time frame schematic we like we're on the two minute or on the three minute

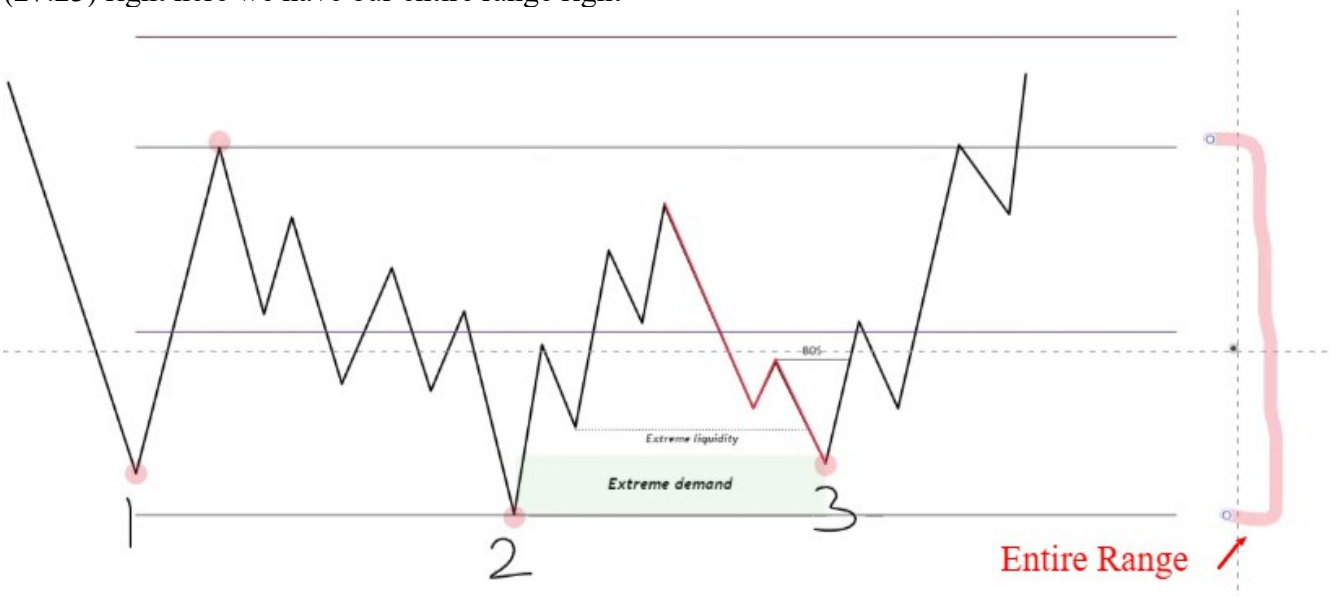
(24:52) it doesn't always have to be valid Market structure applying the six candle rule okay if we're trading the one minute the two minute the three minute um and we see a a significant high like it looks clean it just it misses one consecutive extra bullish candle you know for it to be a valid six candle rule but we're trading a really low time frame and it does look like a significant low in an accumulation schematic just take that as your extreme liquidity Point even though it's technically not valid because it doesn't

(25:25) apply the six candle rule we're on on a really low time frame and I'll still use it as my extreme liquidity because it does look like a significant low it just misses one extra candle for it to be valid using the six candle Rule and this will all be more clear guys in the live examples in the next lecture 5B okay I'm just teaching you the foundation here and the theory before going into live examples but in the live examples it will all become more clear so you can already kind of guess now what extreme demand is right because

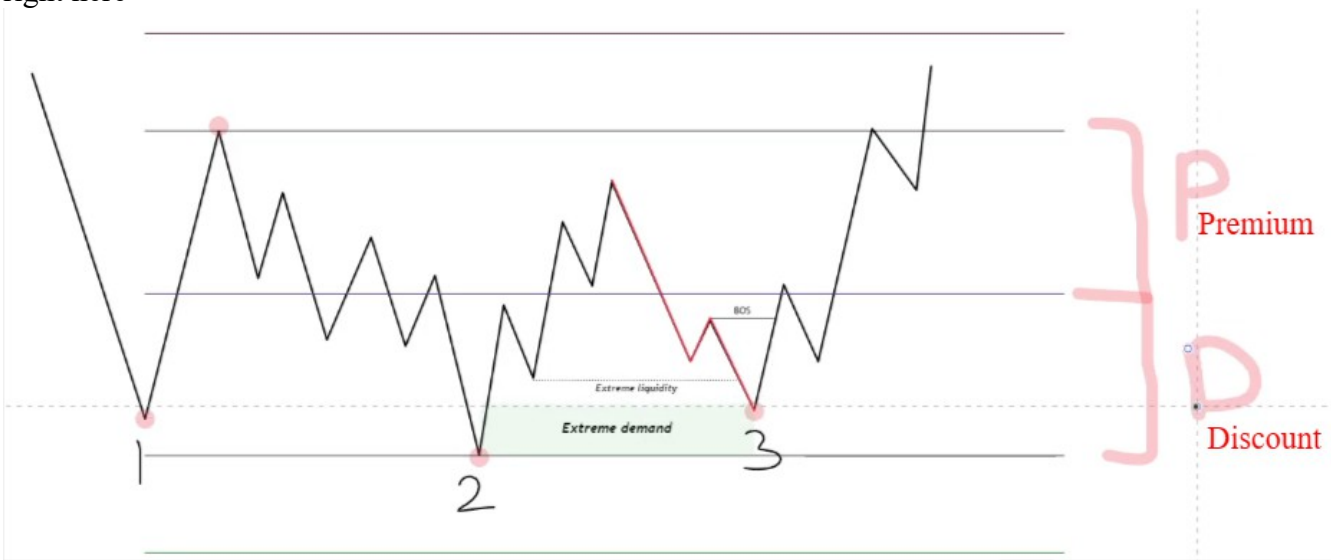
(26:06) extreme demand is our last demand Zone protecting us from taking our deviation low our second tap low and you guys already know how to draw valid demand zones using structure demand or order blocks so it is fairly easy you check your range you see your deviation one you see your deviation two you check the move up from your deviation low towards that highest point there and you check where do I have order blocks where do I have demand Zone matter of fact where is my last order block remaining or my last demand Zone

(26:44) remaining before taking my deviation low and I want you guys to keep it equal and be rational so if you are trading a one hour range let's say this range represents the 1 hour time frame it's a pretty big range don't go looking for one minute order blocks or two minute order blocks all the way in that second tap okay if you're trading a bigger range also just use bigger demand zones to validate a third tap so preferably and most of the time you will find extreme demand in the extreme discount section of

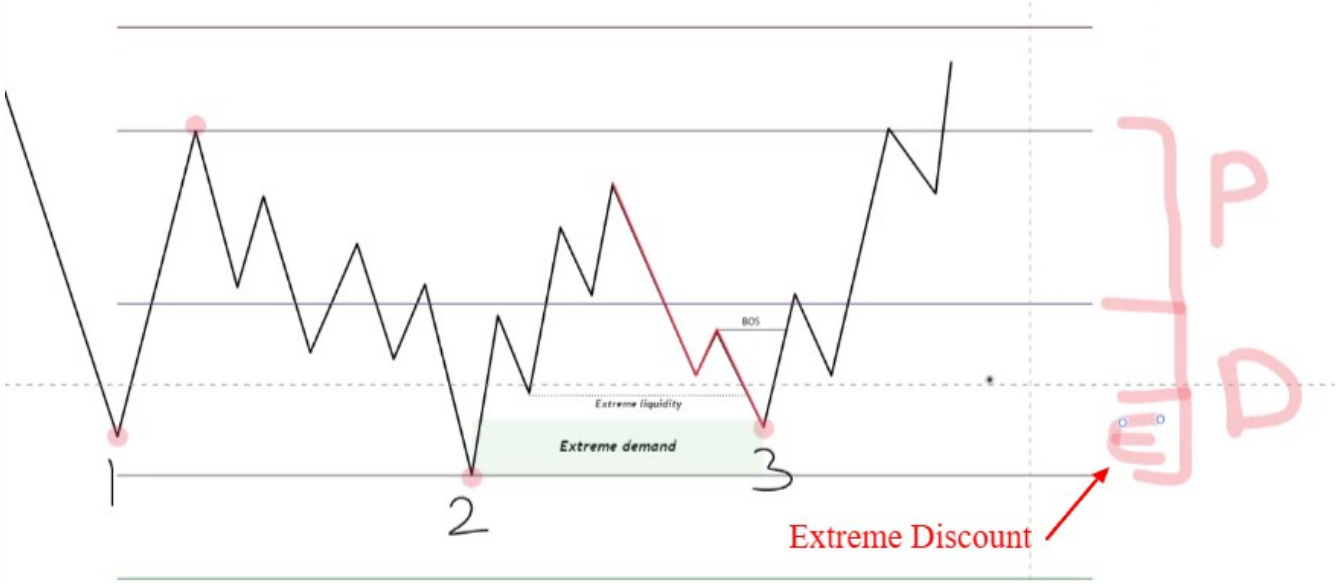
the range so
(27:23) right here we have our entire range right



if we divide it into two parts as you can see with the equilibrium here we have the premium section of the range which is the equilibrium until the Range High and we have the discount section of the range right here

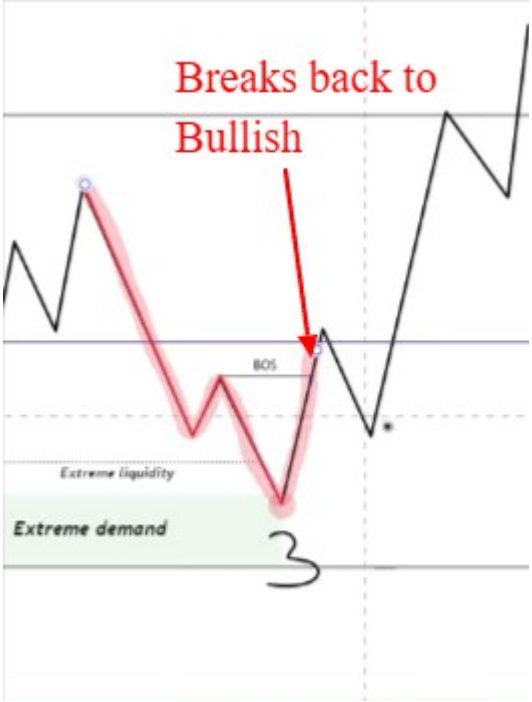


if we divide that discount section into two parts as well you'll find just normal discount and this will be extreme discount

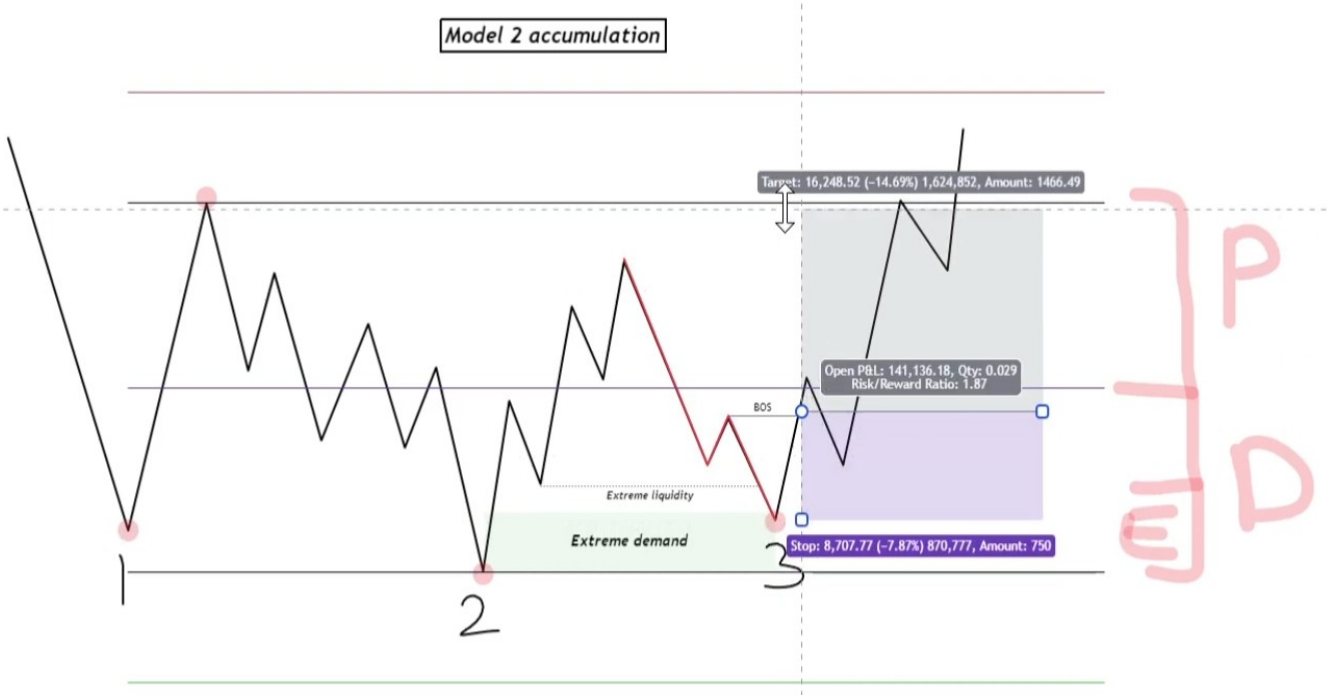


okay and preferably you find demand zones that are hovering around that extreme discount Zone that last 25% of your range low that's always a nice little
(27:56) area to find those demand zones that we can uh use as our extreme demand because it's almost at that range low it's hovering around that range low area it always looks nice if price retraces there for a one two and a three so if you find a structure demand you know inside of that extreme discount area that's always nice now if that structure demand can be refined into an order block which is lower inside of that structure demand don't particularly put that much importance on it okay just use the entire demand Zone because either way

(28:34) guys either way to confirm the TCT model 2 we do it the exact same way as the TCT model one we watch our structure okay we watch our structure from the highest point between tap two and tap three which is here down towards our third Tap low now when that breaks back to bullish right here you can see in the red when that breaks back to bullish



that is your entry confirmation and again you enter on the break you put your stop loss below your third tap low and you target the Range High it's the exact same way as the



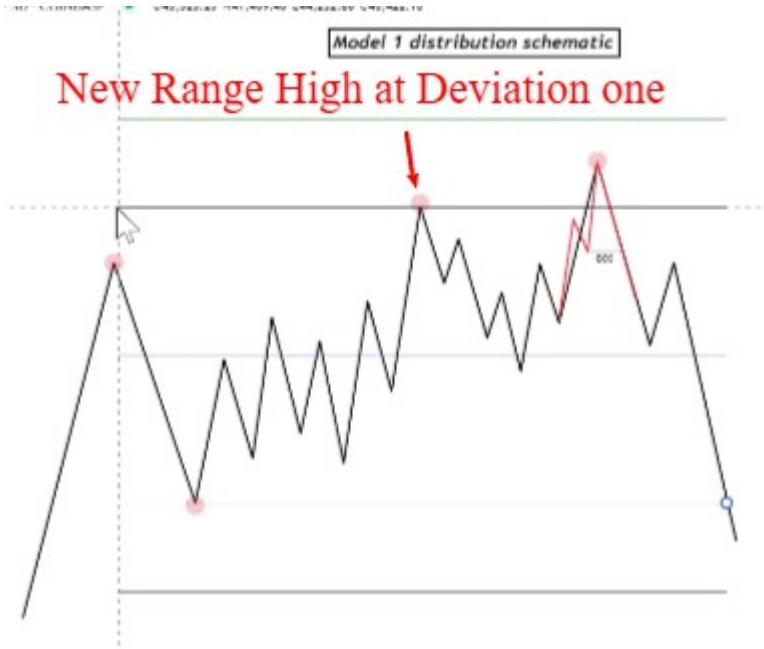
(29:13) model one you're just trading a higher low now that just needs to meet a few requirements okay so even though let's say we have this the let's say this was structure demand but inside of that structure demand we had a more refined Zone that we did not mitigate well it doesn't matter because we have to wait for structure to break back to bullish either way so if structure breaks back to bullish prior to mitigating that more refined Zone it's still valid take it take it the structure confirms the model the model two right

(30:01) if we bounce right if we Bounce from demand Zone but we do not break structure and we come lower mitigating that more refined Zone and then we break structure yeah that's where you enter then

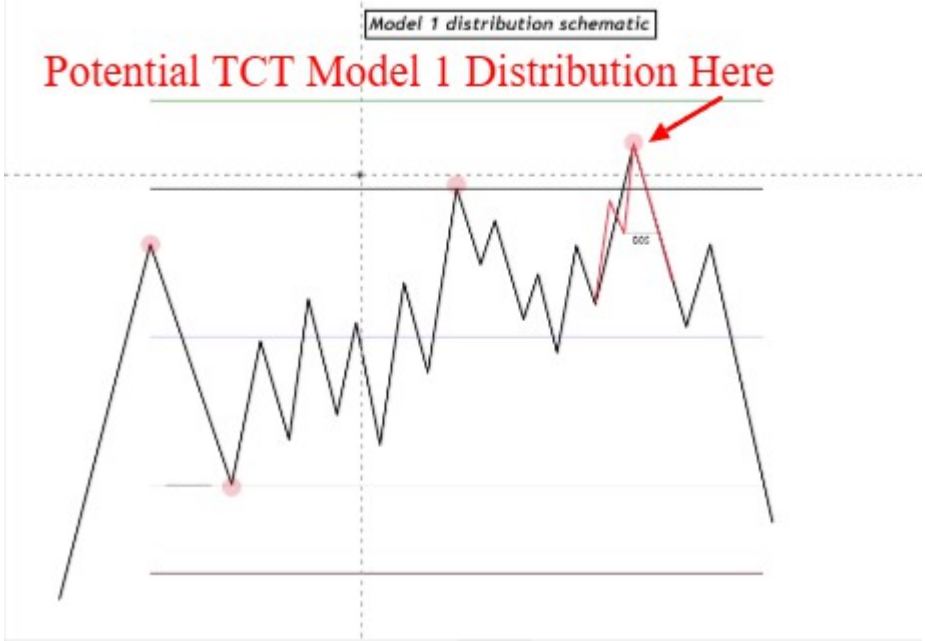
it's still a valid schematic right it just came back for that lower more refined demand Zone but you would not have gotten trapped into thinking we were not going to mitigate it because you had to wait for structure either way okay you had to wait for structure either way so remember that that Target of also a

(30:37) model 2 is the Range High okay it's the Range High anything beyond that range high is extra and based on building proper context that's when we can get and squeeze out those extra gains but again that's something we will get into in a later video so now distributions model one distributions work the exact same as a model one accumulation just the other way around okay so what you want for a model one a TCT model one distribution schematic is price is let's say trending up and we form a range so when we're trending up
(31:30) we pull our range from top to bottom okay we come back towards that equilibrium of the range confirming the range followed by a valid deviation one

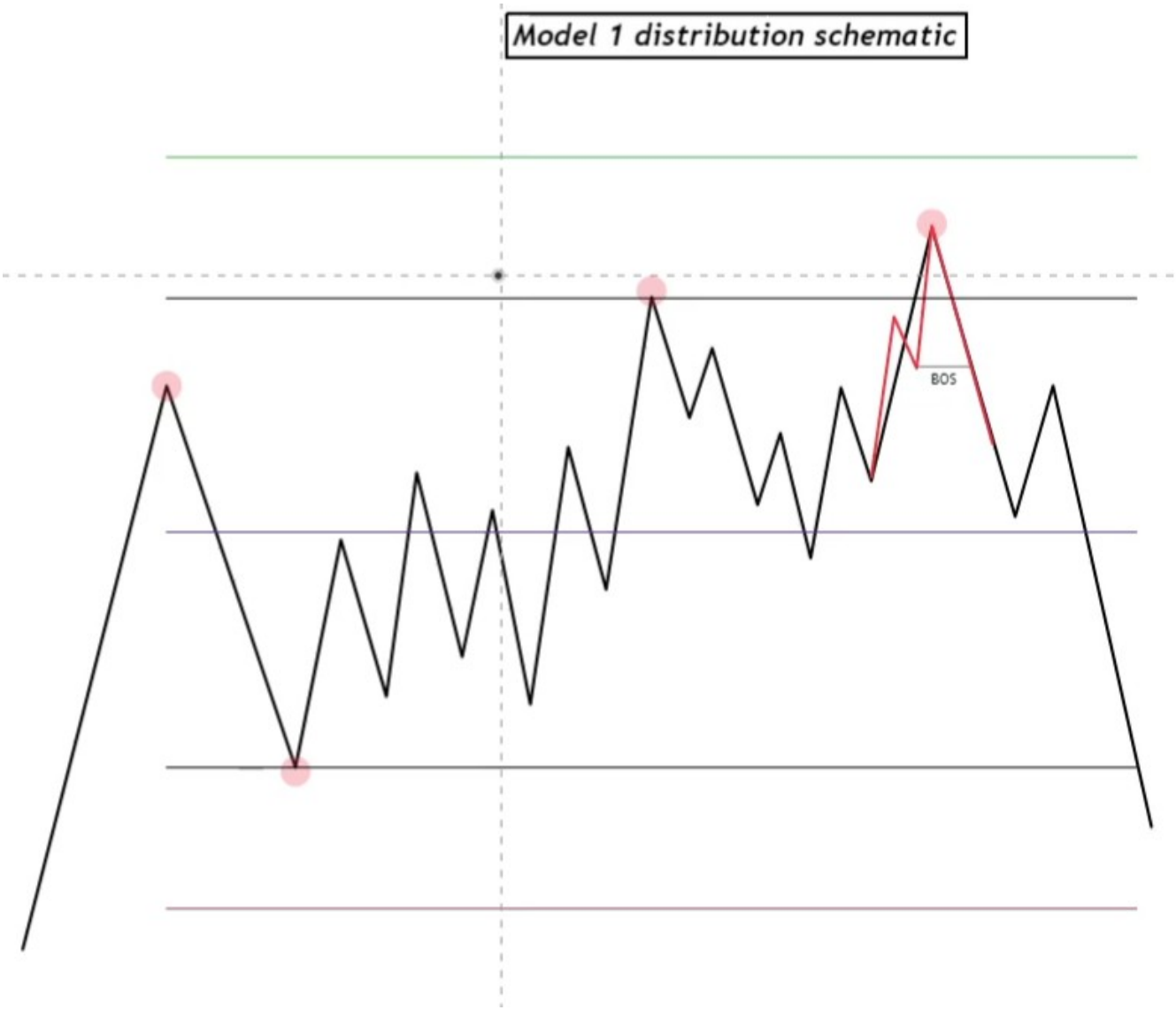
using our DL2 after that deviation one and we come back inside we extend our new high towards our deviation high



and then if we can get that second deviation exceeding our deviation one that's when we can have a potential TCT model one distribution schematic

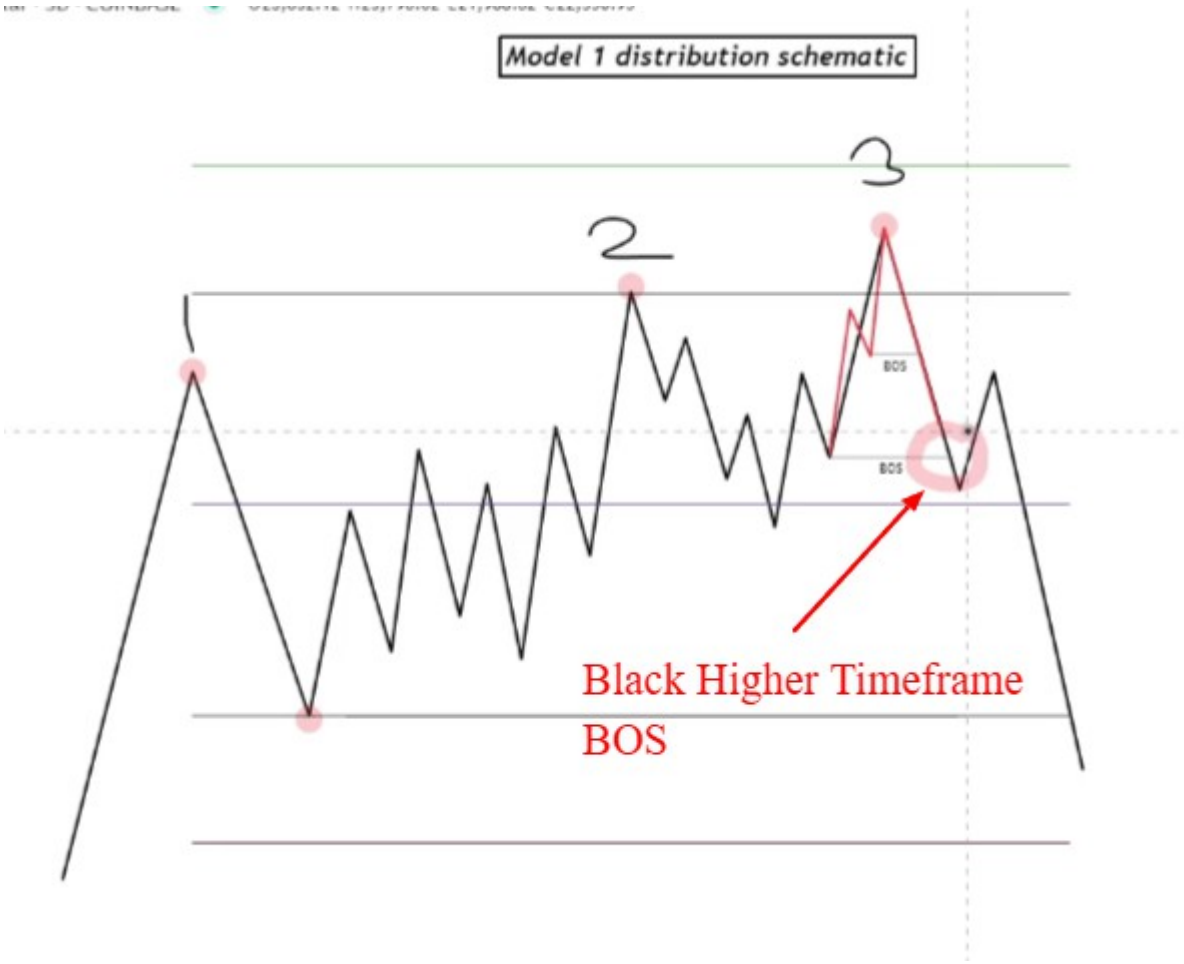


to confirm a TCT model one distribution schematic again we need to break structure from in this case the lowest

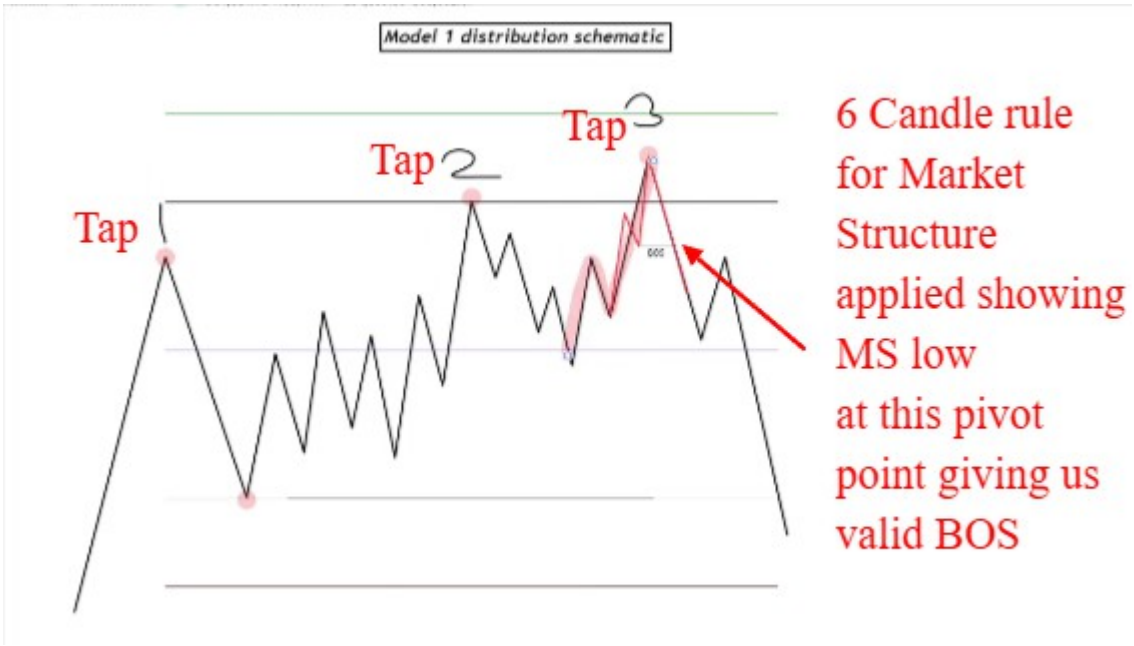


(32:17) point between tap two and tap three up towards our third tap High okay it's the other way around so we have tap one we have tap two and we have tap three this is the lowest point between tap two and tap three if we watch our structure following our six candle Rule and applying our six candle rule okay from the bottom to the top that's where we have to wait for a mark structure break to confirm an entry and you guys have seen me do something extra now okay and I've done this on purpose because if we follow if we follow our six candle rule

(32:58) you using our black mark structure drawing we can find a break of structure level that's way lower right here

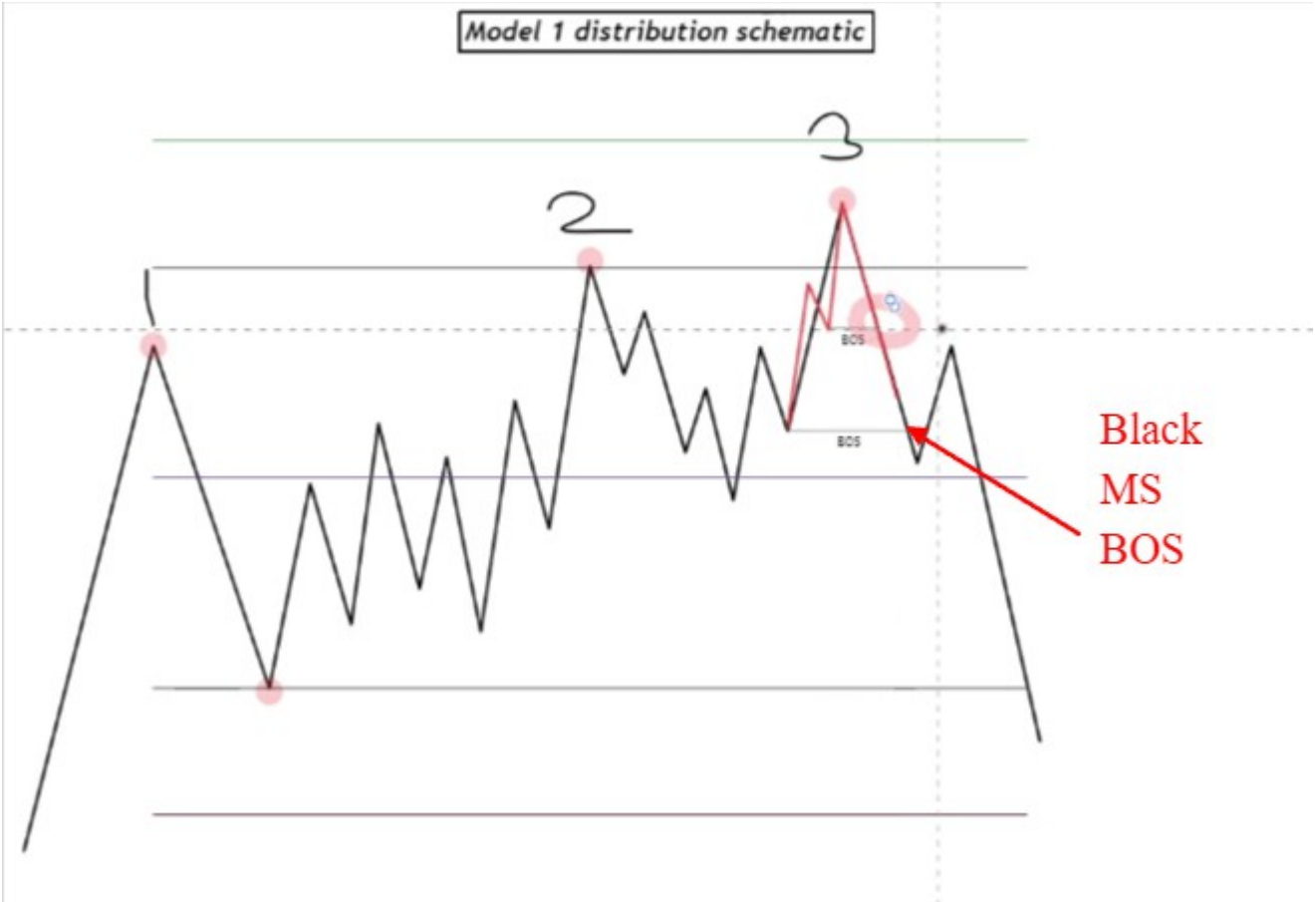


okay now you guys know now about overlapping Market structure and that we can have multiple layers of structure we have black we have red and we have blue black representing our higher time frame red representing our mid-time frame blue normally representing our lower time frame I told you guys that preferably I want a breaker structure that's back inside the original range values meaning that second deviation High we have a break



(33:38) that's back inside there that's safer and it's better now if we follow our black mark drawing we have a break of structure level that's back inside the original range values but it's it's extremely low it's almost at the equilibrium of the range already what you can do in those scenarios right is check if that last expansion that created that third tap high on your black marks you're drawing has lower time frame structure in this case red where red could for example be our five minute Market structure pool where our black is our 30
(34:17) minute if our red mark should break or our red mark should drawing breaks back to bearish also inside of our original range values we can already short our red Market structure break

and we can take it towards our black mark structure break

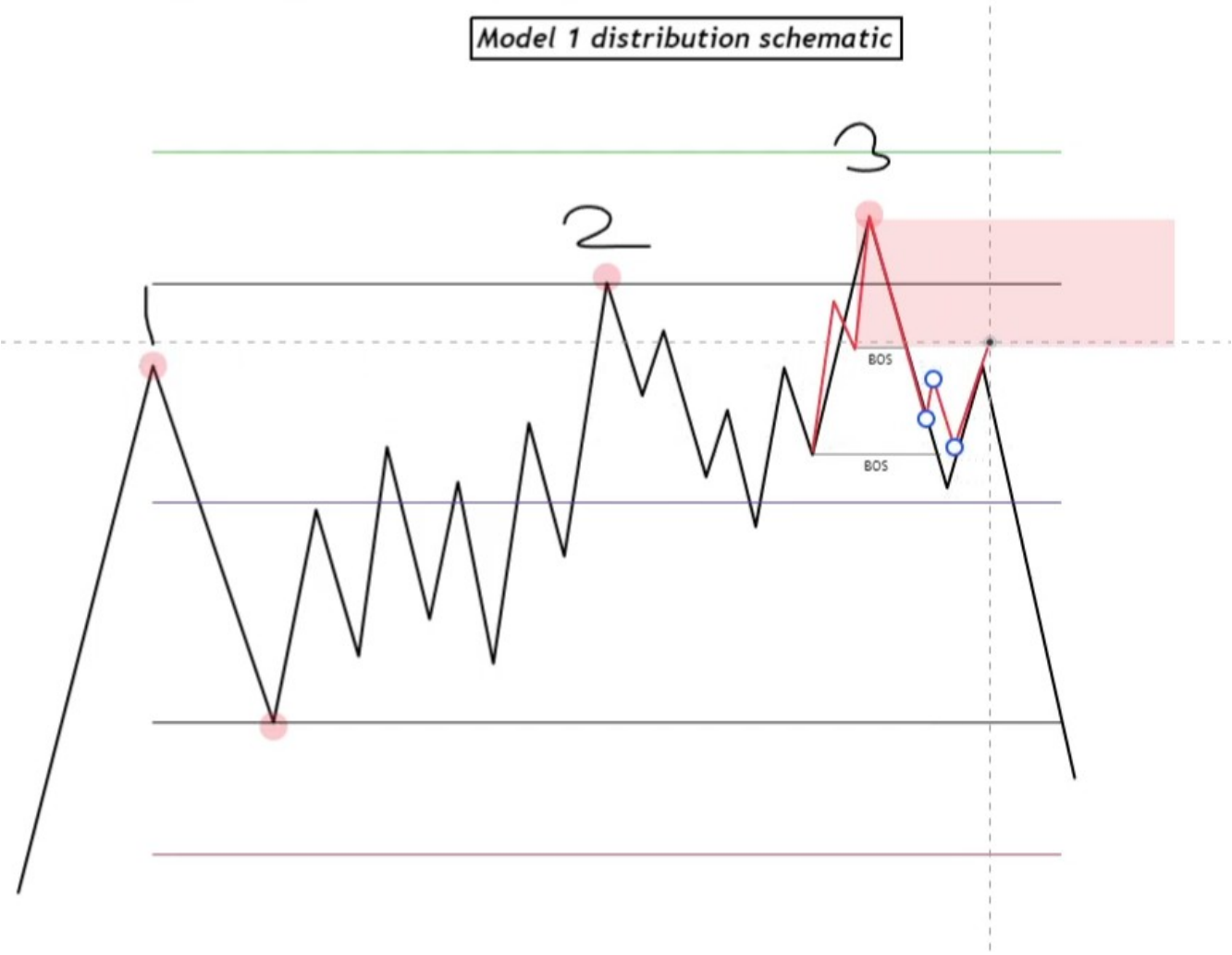


and we have to be careful and see what happens there because we want to see our black break as well because the black is the higher time frame and higher time frame over rules lower time frame right but you can already enter on a TCT model one distribution schematic on basically the time frame where the break

(35:04) is back inside the original range values and then you check is there a higher time frame pool that that isn't a more important low to break yes okay pay attention to what price does after coming to that low now if you break back to bullish if your red marks drawing breaks back to bullish prior to um taking your black marks or your low it's always sketchy and you have to be careful

okay you have to be careful but I have seen it many times guys I've have seen it many times that you can break it back to bullish here
(35:44) and it's a fake Break to mitigate the supply Left Behind from this break this structure Supply let's clean that up I've seen the many times that you break back to bearish confirming your TCT distribution and then that breaks maybe slightly back to bullish just to mitigate the structure Supply Left Behind from the distribution schematic and to dump down

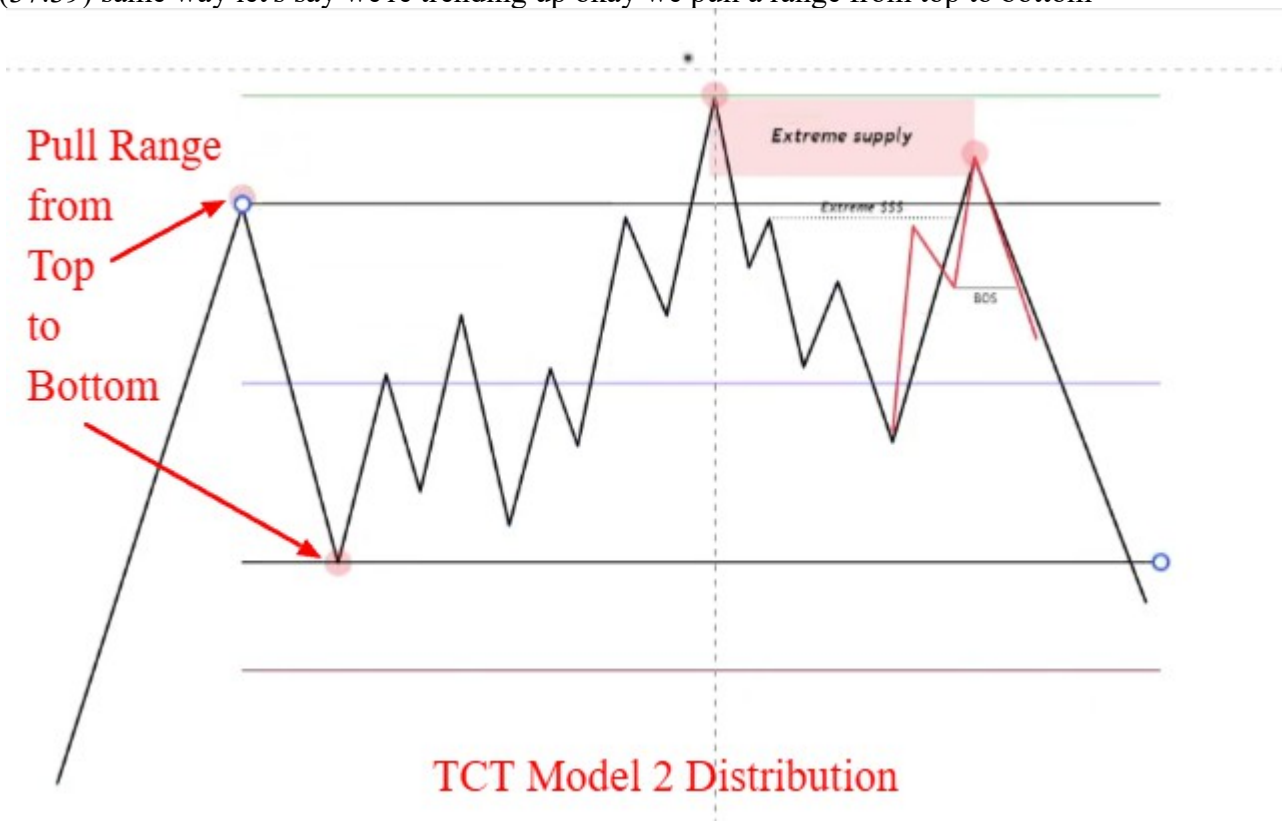
okay so pay less attention towards your red markers you're drawing breaking back to bullish especially if you're trading the mid time frames and the lower time



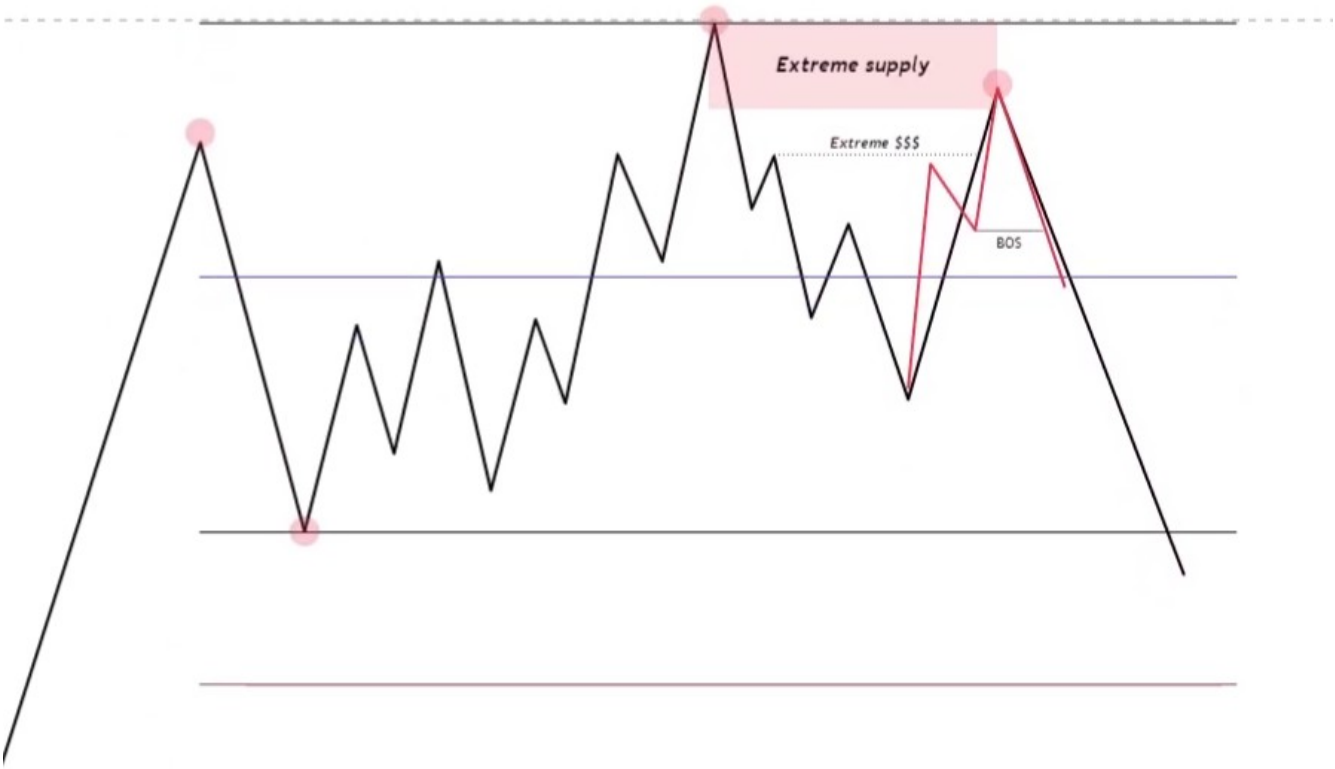
(36:15) frames it's not that significant okay um but just know that you can already enter on the mro structure break that's back inside the original range values all so if that's not the original highest time frame structure from your low of the second to third tap towards your third tap high so I would already enter here and do pay attention to what happens here okay but you can use that overlapping structure for a better entry and a better risk reward because you can short right you can short right on this break putting your stop loss above your third
(36:54) tap high and again guys targeting the range low which will be a 2.75 risk to reward

instead of if you wait for the black market structure low you're drawing that will be a one to one so you'll make you'll make 2.75 times more money trading this red mark structure you're drawing than that black one and both are valid okay so watch if you have more structure inside of that last expansion towards your third tap High and again for a model 2 TCT distribution schematic our third tap is a lower high okay we apply the range in the exact

(37:39) same way let's say we're trending up okay we pull a range from top to bottom

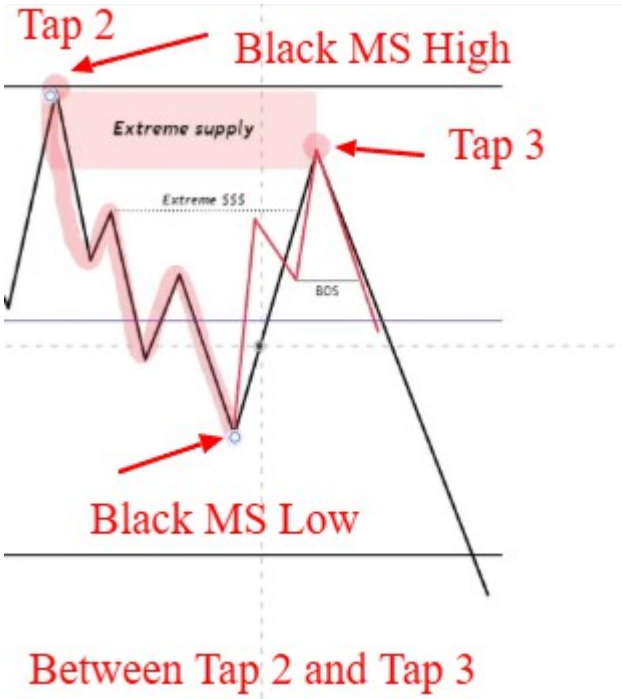


there's no close above our DL2 using our um proper range uh confirmation as well by touching the equilibrium and then we come back inside we extend our Range High to our deviation high

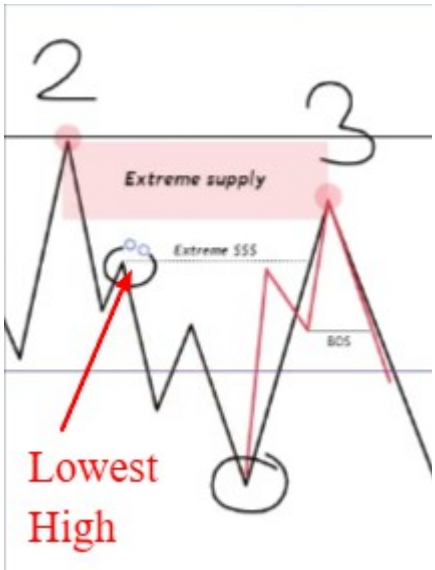


and then we check where is Extreme Supply where is Extreme liquidity and that third tap is going to be a lower high that grabs either one or both okay but only one is needed to meet the requirements so again what is Extreme liquidity we just check what is the

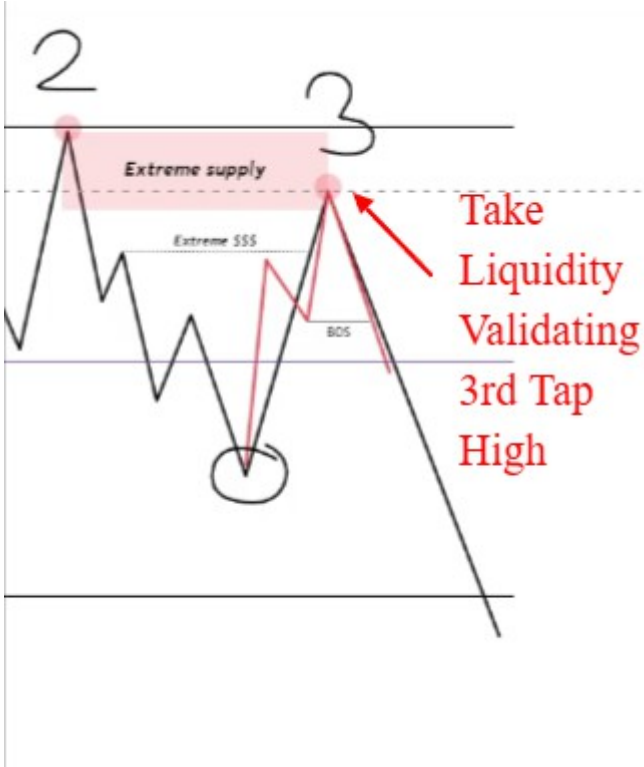
(38:20) first Mark strcture High by drawing mark from the top down from your second tap High towards the lowest point between tap two and tap three because this is tap one this is tap two this is tap three lowest point between tap two and tap three is right here so we check the structure from the second tap High towards the lowest point between tap two and tap three



what is our first Market structure high this created that is right here

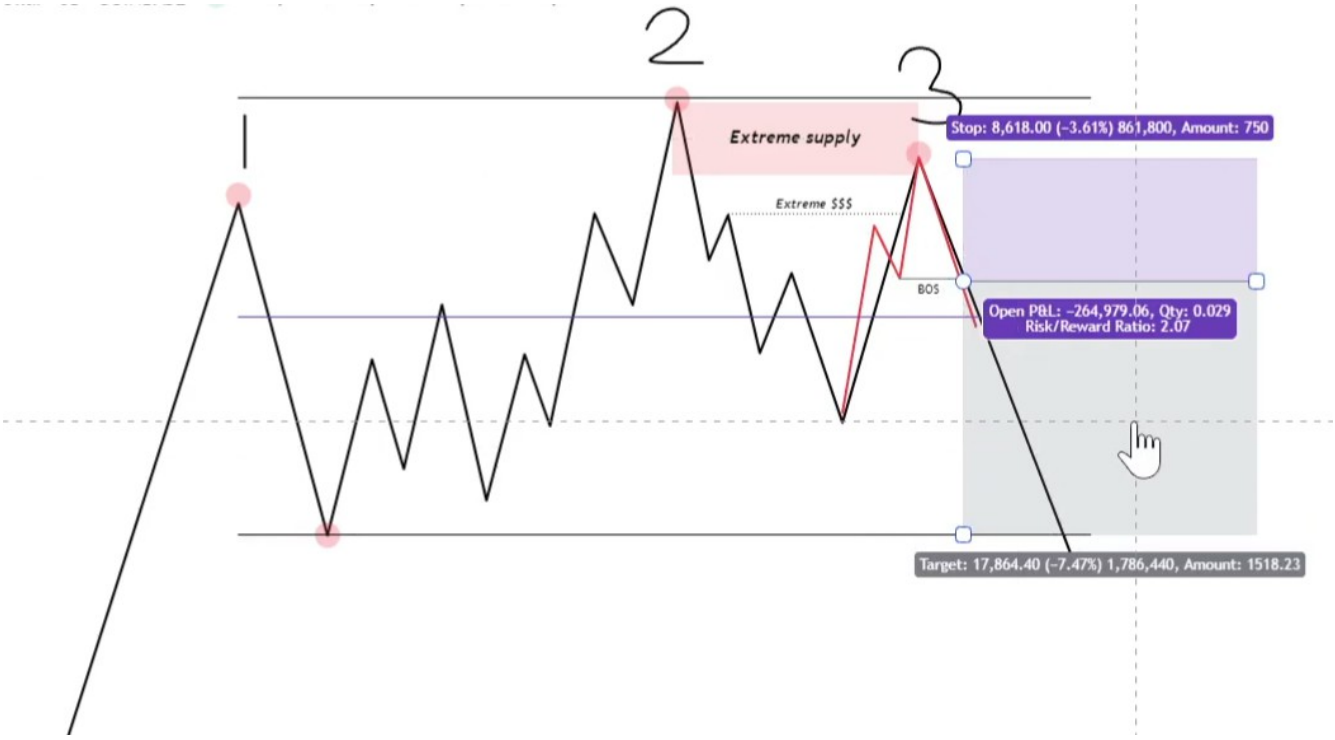


and we look at the market structure from a six candle rule perspective unless it's the very very (38:56) very low time frame like the one 2 two and the three for example then we'll just check what's the most significant High okay and if it only misses one candle therefore not meeting the six candle rule standards we can make an exception okay now we take that liquidity validating our third tap high



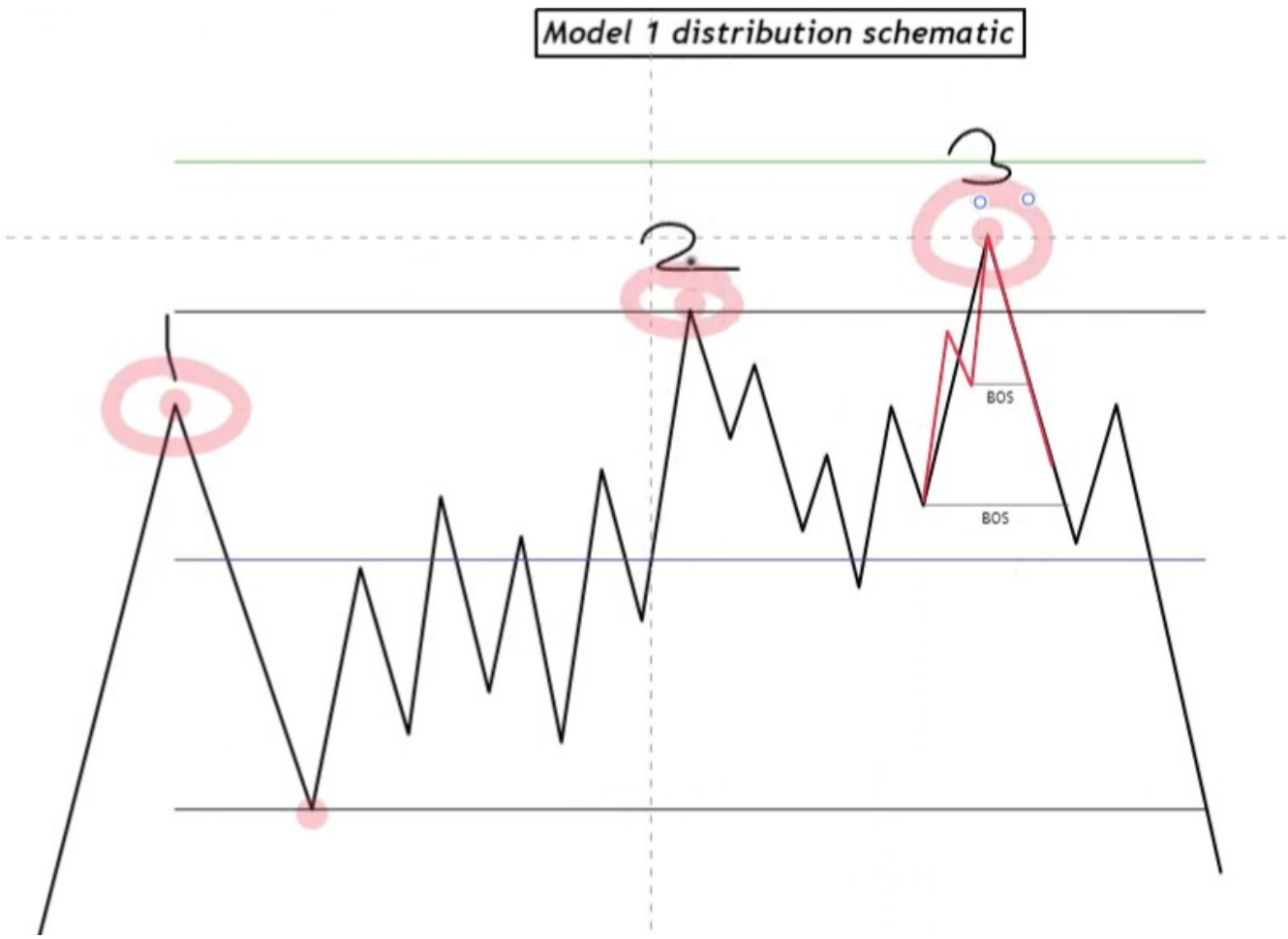
or we check where is our extreme order block or our extreme structure Supply drawing structure Supply and your order Block in the way following the rules taught in lecture three right and then once that's mitigated that validate that

(39:34) third tap again you can see right here that our black mark drawing has no structure coming in that third tap high and that will is something you'll see more often that your black marks drawing side of this range has no structure coming in that third tap High that's when we zoom in on the lower time frame for example our red marks which are drawing to confirm that break of structure and once we do break that we put our stop loss above our third tap high and we target the range low for a risk reward of two in this

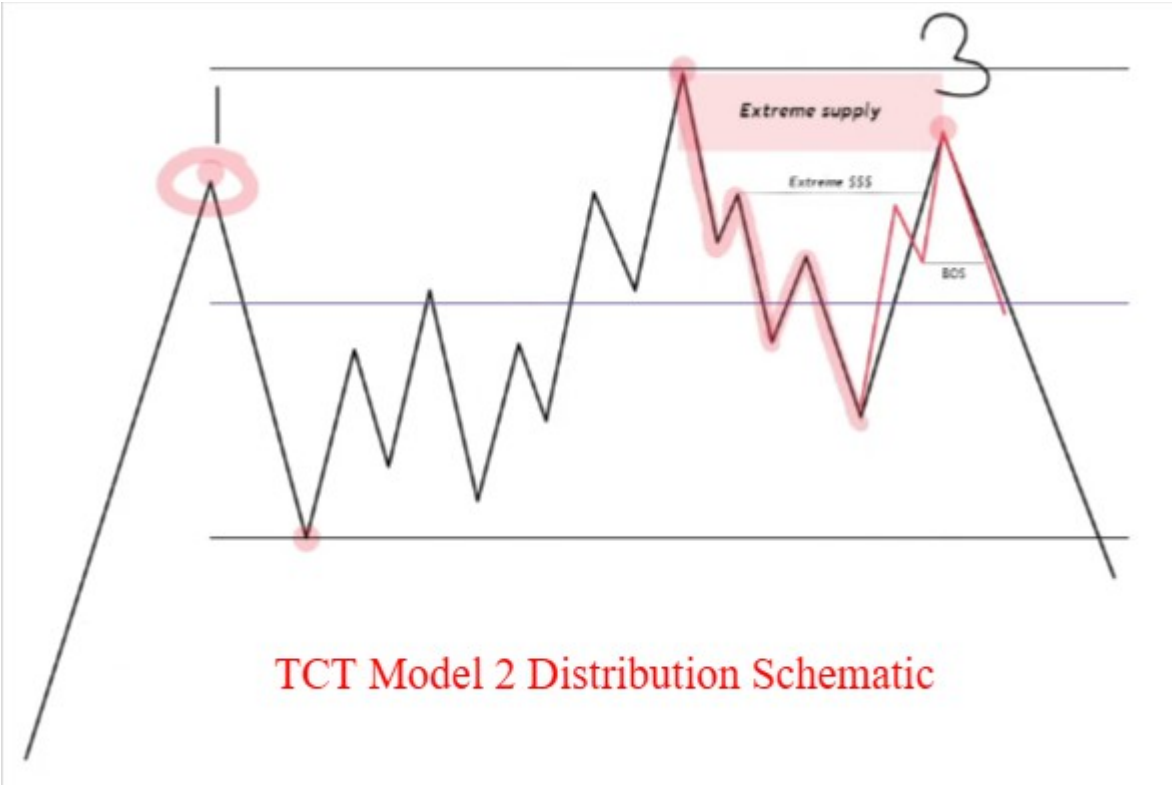


(40:10) example it's it's really not that hard once you understand and you see it and you guys should also understand now why I have made this rule for the third tap of a model to this distribution or a model 2 accumulation because we're talking about Market maker involvement here right wov is Market maker involvement well in order to move price significantly which it does if you have a TCT schematic they need to fill their short positions if we're talking about distribution so what do they do well it it's very simple for a model one right

(40:54) it's very simple for a model one because the most the most buy side liquidity is above your Range High so they they just grab the Range High once and then they grab it twice grabbing all the buy side liquidity twice which is enough to fill their short positions and to reverse price down because those buy orders will get absorbed by their sell orders and then they will reverse price why did I make this rule for the third tap



for a model 2 distribution well on the second tap it's very easy right because they grab all buy side liquidity from that range



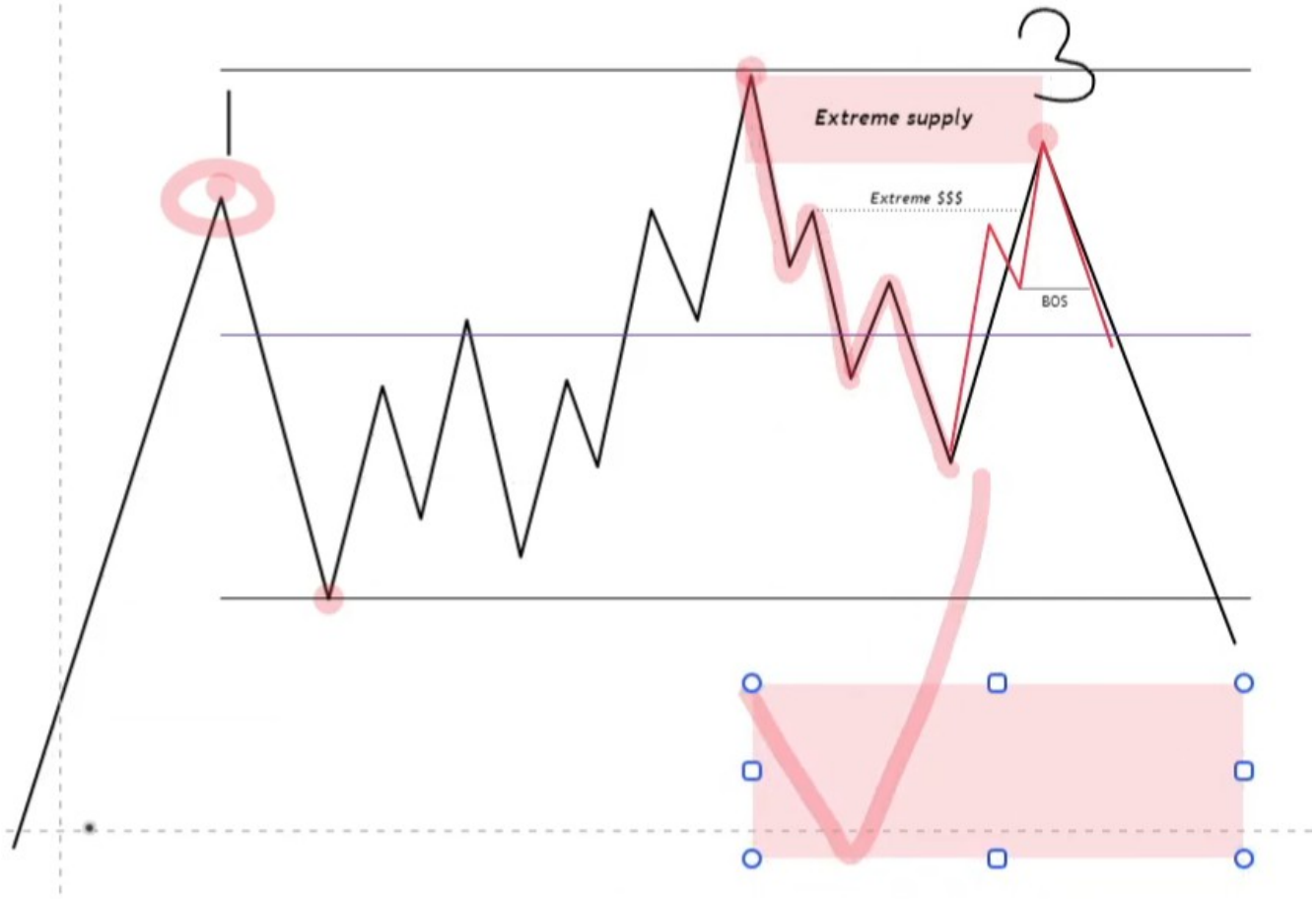
(41:27) high so very easy simple deviation well where is the most liquidity where is the most buy side liquidity inside of the range if you cannot deviate your Range High because it can deviate your Range High if you wanted to be a model two well that will be that will be above that First Market structure High

because people that this is how it will go people that shorted the second tap initially had their stop loss above the second tap high and then the moment we are trending down they will trail their stop loss towards that

(42:08) First Market structure high

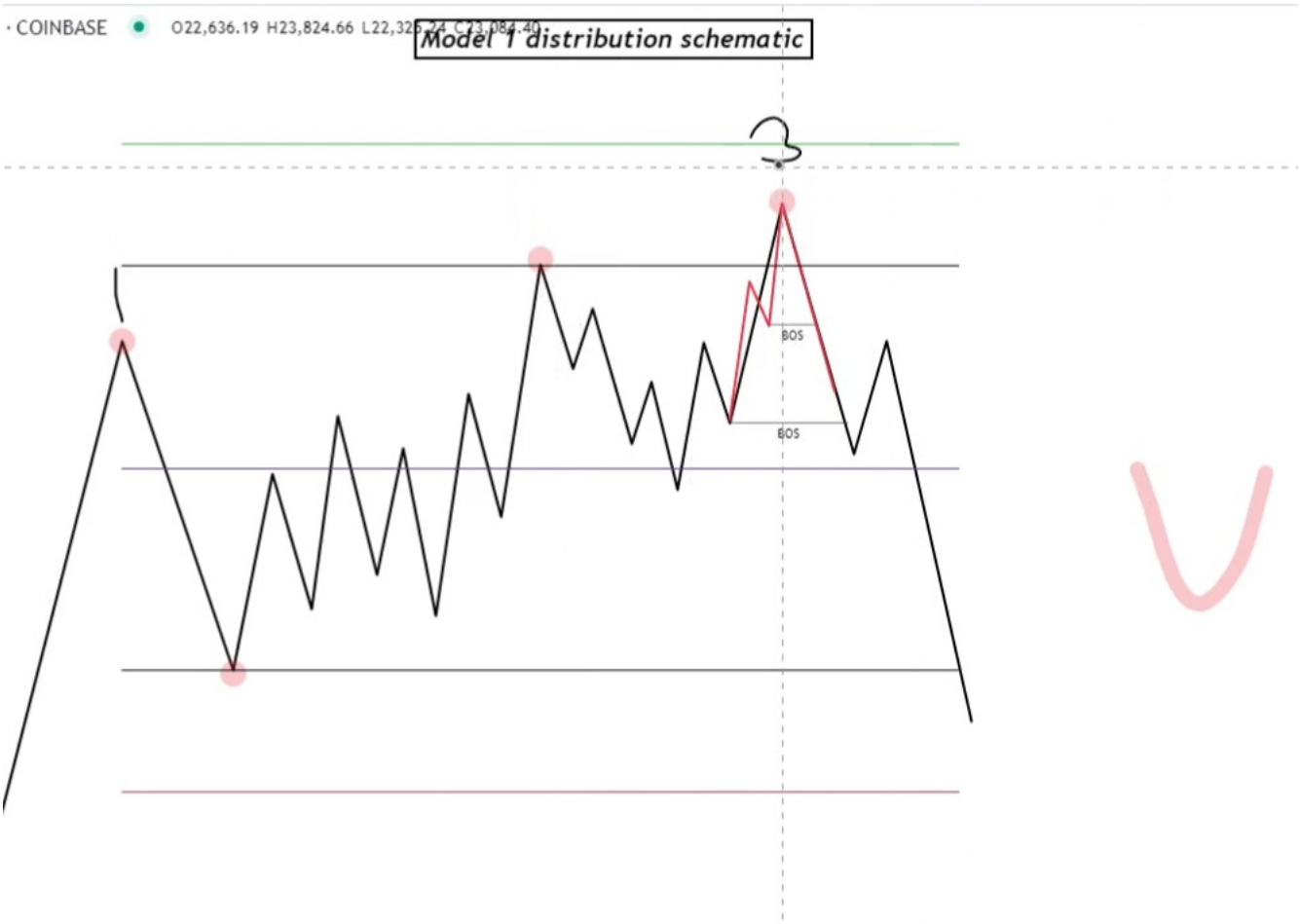
and then people will continue this Market drawing and trail their stop loss above that new market structure High

following the market down there are many also um tools in the trading exchange self that can automatically drill your stop loss so from this entire downtrend right if you take that first Mark structure high that will just mean that you will have grabbed all buy side liquidity that was trilled here on the move down when you take that first Mark high was created so on that third tap
(42:47) which has to be a lower high in order to be a valid third tap in the model two the most obvious buy side liquidity point for the market maker to push price before reversing is that first High because that's where the most liquidity will be taken and it's not that the most liquidity will be taken exactly on that high is that we would have grabbed all liquidity from the move down right so price curves down for example well it would it would have grabbed all liquidity from that move down not taking that um not taking that Range High so
(43:24) when you take that first Mark High it just means you've grabbed all internal liquidity all inside of the range liquidity okay which gives them the opportunity to fill their short positions and make price reverse now why extreme Supply is also a requirement often times you will take both but you can also take extreme Supply let's say the supply was lower than the liquidity it can also just mitigate Supply before going lower why well Supply is an indication of Market maker involvement because Supply will only be created if price moved away
(44:01) significantly if you have an order block is the is the last candle down if you have a bullish order block is the last candle down prior to pumping higher meaning who pump price there well Mr Market maker if you have structure demand it means a few candles down before pumping well who pump price the market maker right so if you see Supply at that Range High High it shows a very good signal and indication of a market maker shorting there because it will be the last bullish candle before having an aggressive expansion towards the

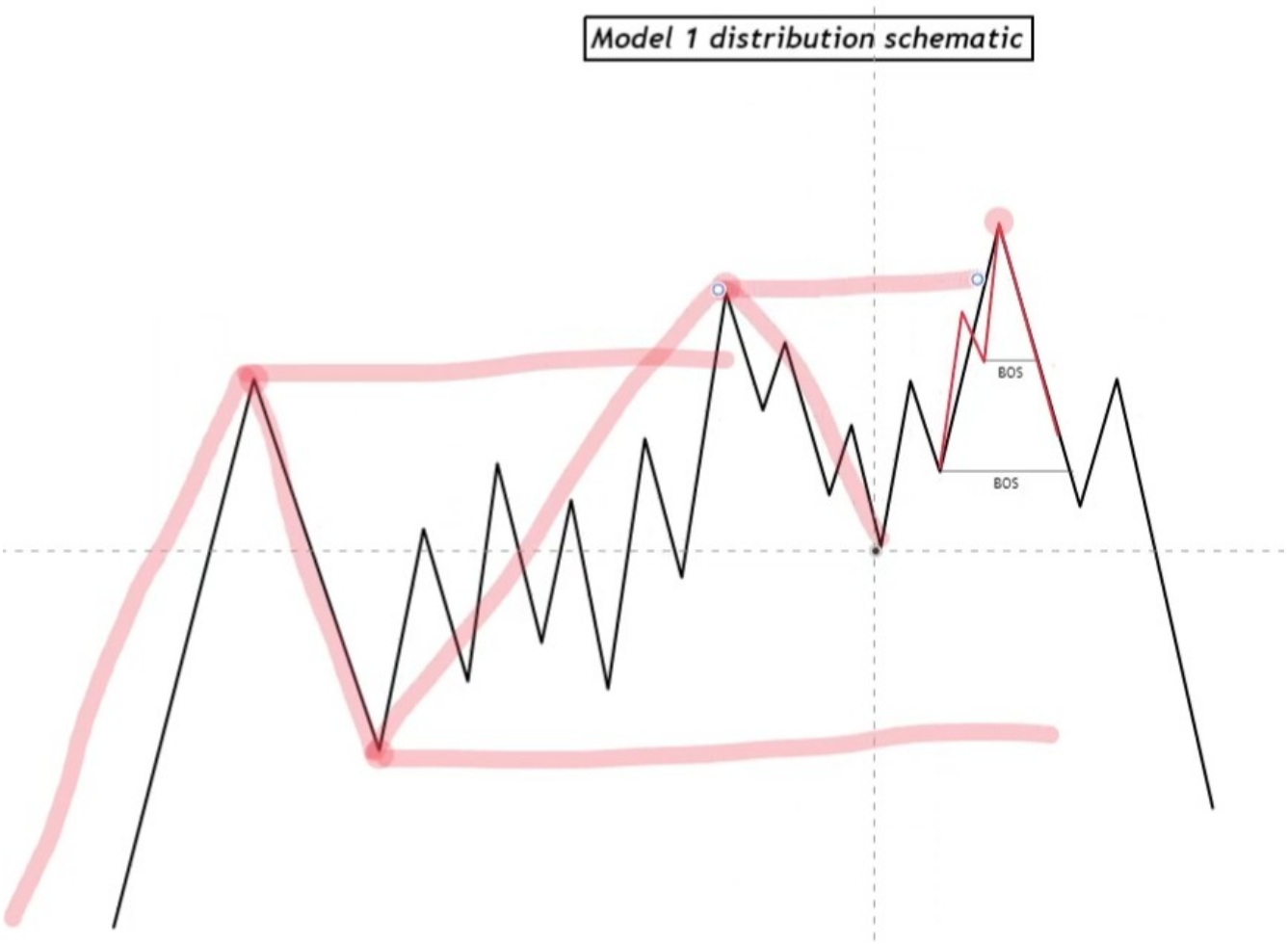


(44:38) downside so a market maker stepped in at that second tap high if price comes back to that order block you think the market maker is going to lose you think the market maker will make price go higher than that second top high making him be in a loss because the order block shows an indication of him entering? of course not he will just use this move to fill more shorts around his entry points to go lower that's why an order block or a structure Supply or just a supply area meeting the requirements taught in lecture three is also valid for a TCT

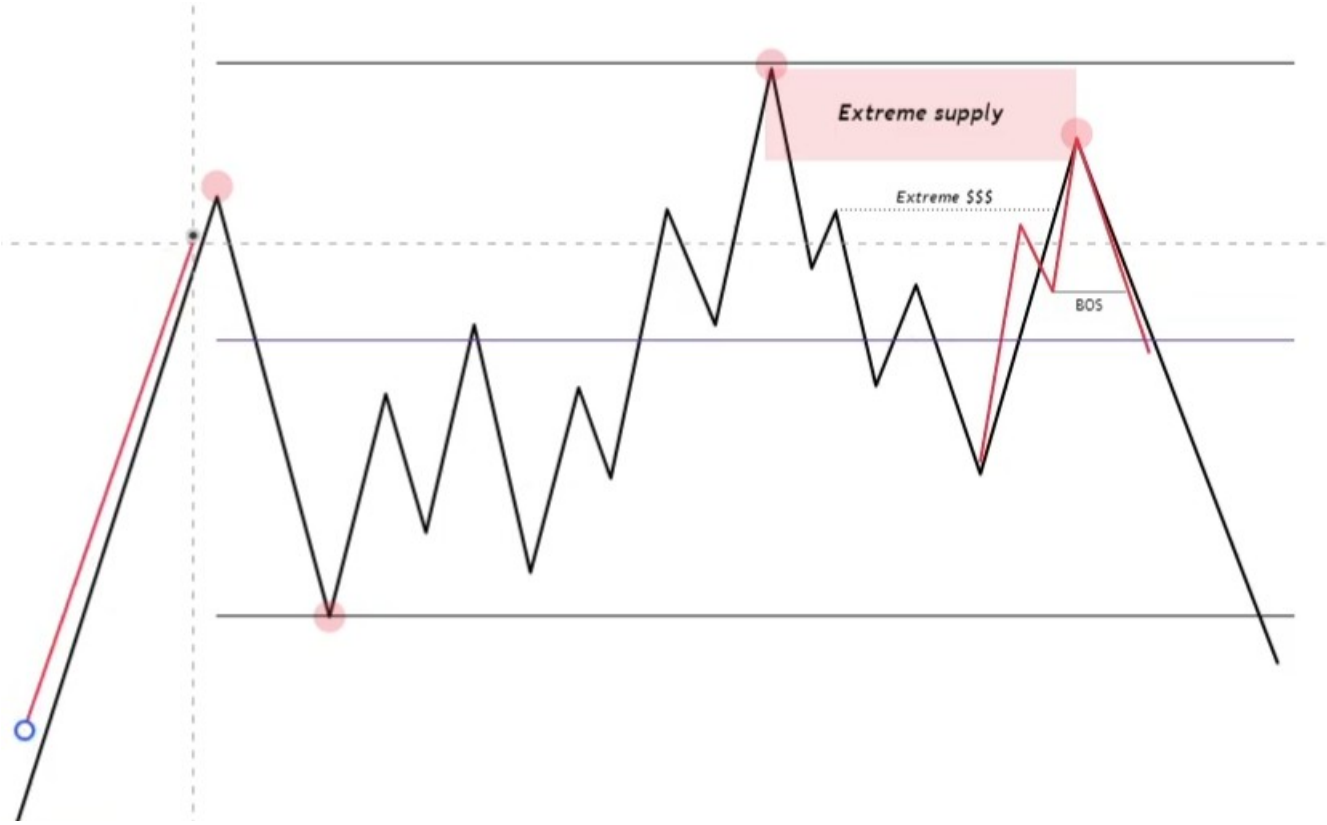
(45:20) tap okay now there are a few things I want to point out okay there are a few things I want to point out and that's cleaning this up a bit there are a few things I would like to point out the first one being that your TCT schematic is only valid on a certain time frame if you can draw your marker structure on each tap applying the six candle rule so if you did not understand if you did not understand a range and you would have to draw your marker structure you will use your six candle rule and you'll go okay I have a low I have a high I have a low right



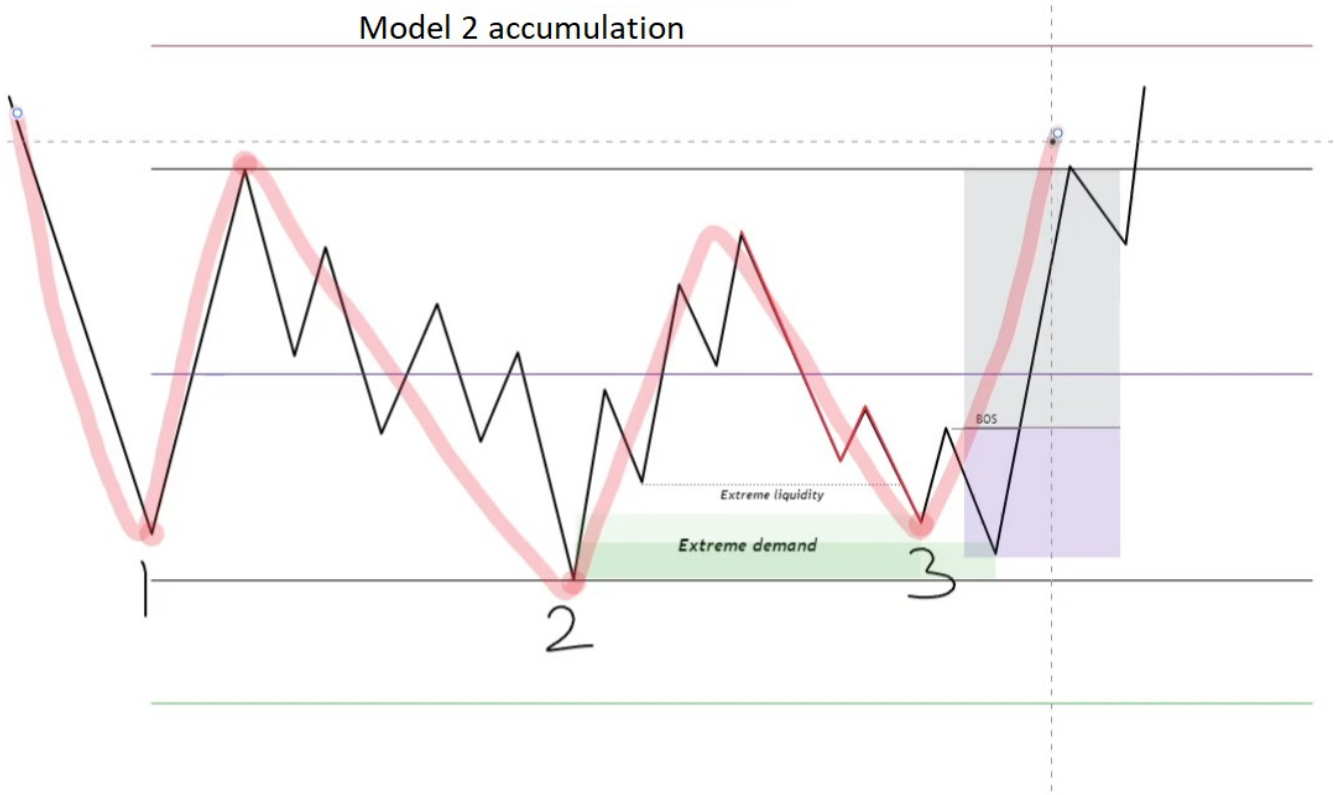
(46:10) here you wait until that high gets tapped that's when you can confirm this low and then you draw your structure and then you have a retrace and you wait until that high gets tapped and that's when you confirm this new market structure low so when drawing your structure this will be your higher lows and your higher highs if you don't understand ranges meaning this TCT model one distribution schematic will only be valid if you can draw or will only be valid on that specific time frame if you can draw your structure using the six



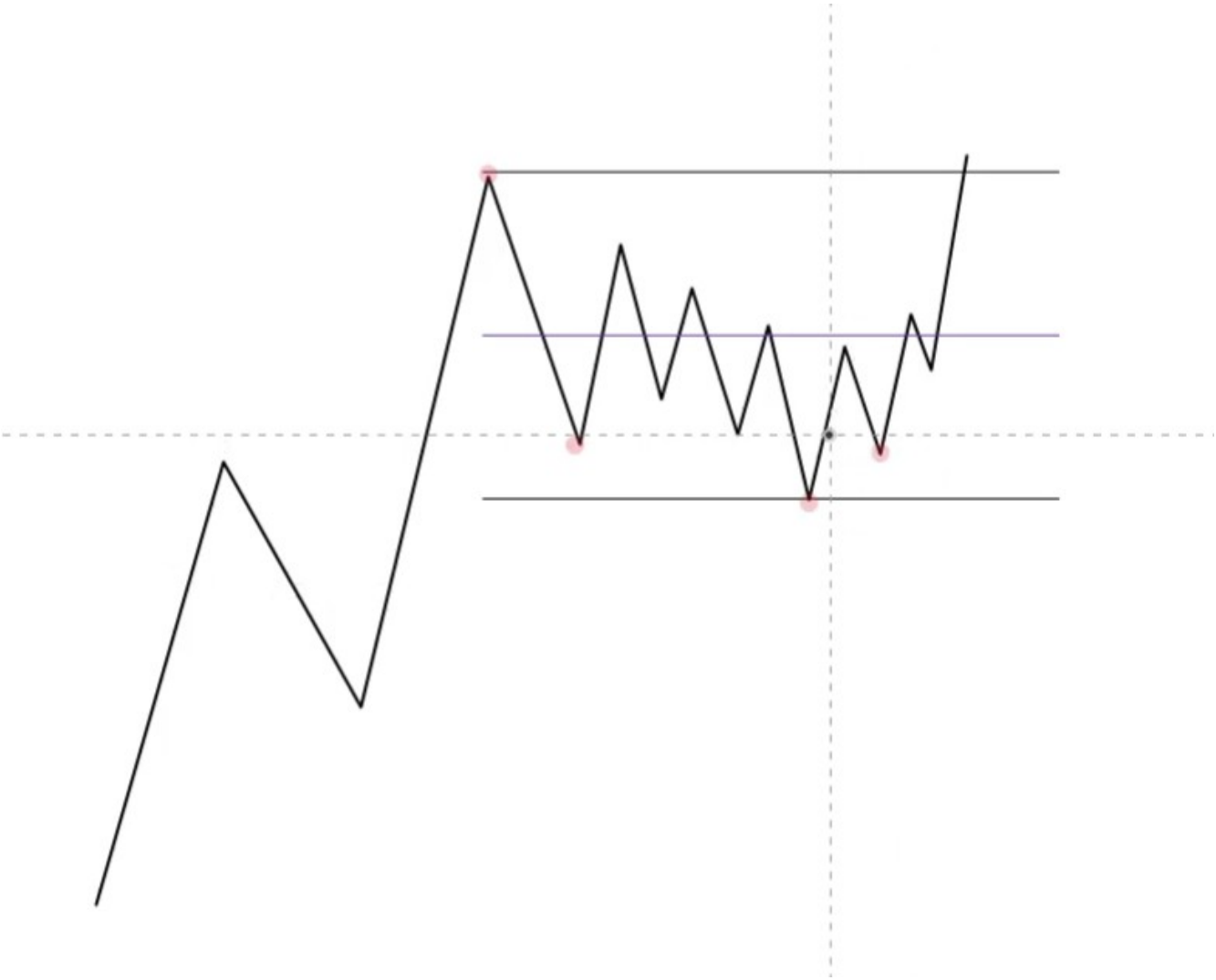
(46:44) candle rule so if I can draw my structure on the 45 minute like this like shown here that means that this is a 45 minute TCT model one distribution schematic if on the 1 hour you can't it's not a 1 hour schematic anymore okay it's only a 45 minute and that will be important to know into later lectures okay and the same goes for a TCT model to distribution it will just be that you have two candles here two Candles there two candles here two Candles there two candles here okay you'll need to have the two



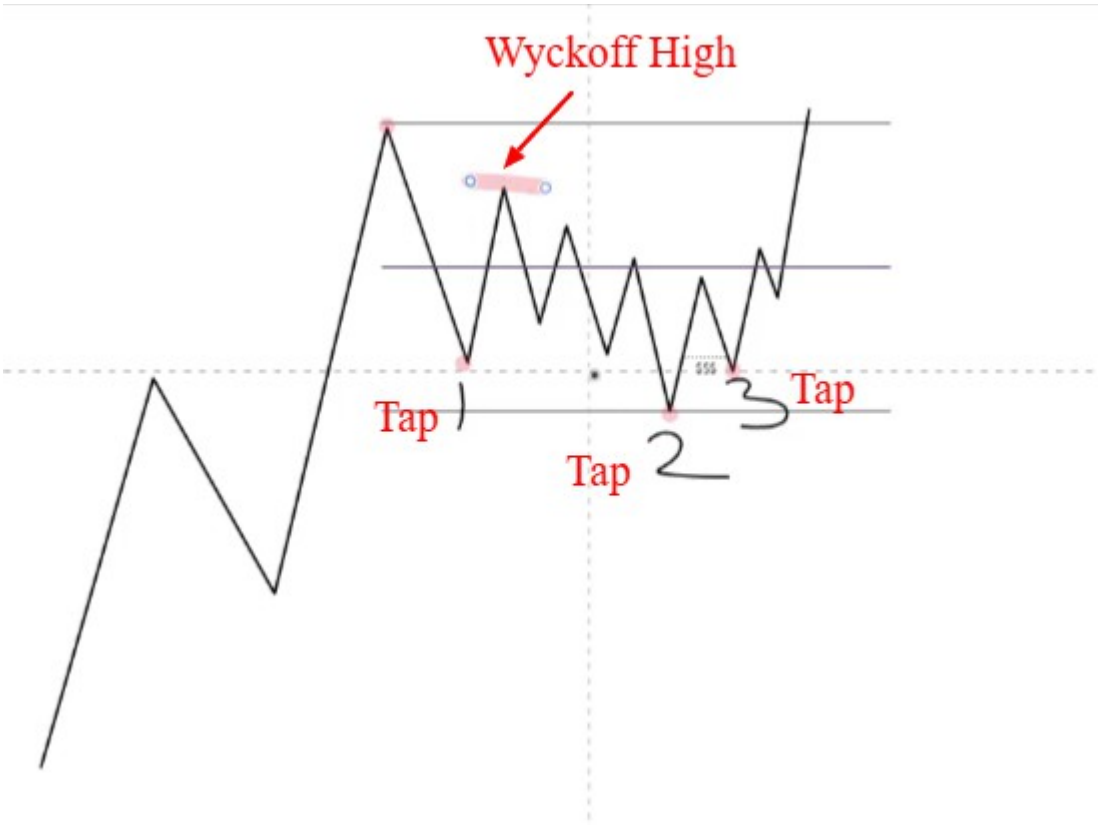
(47:22) candles going up down up down up down but this will just be a lower high okay but in order for it to be a valid model two on that specific time frame you need that six candle rule applying it in the pivot Points of the taps same goes for the accumulation okay valid accumulation you want two candles here two Candles there two candles here there here and then you go higher same for the model one okay same for the model one now you guys also need to pay attention to the difference between your Wyckoff high and your Range High or your Wyckoff



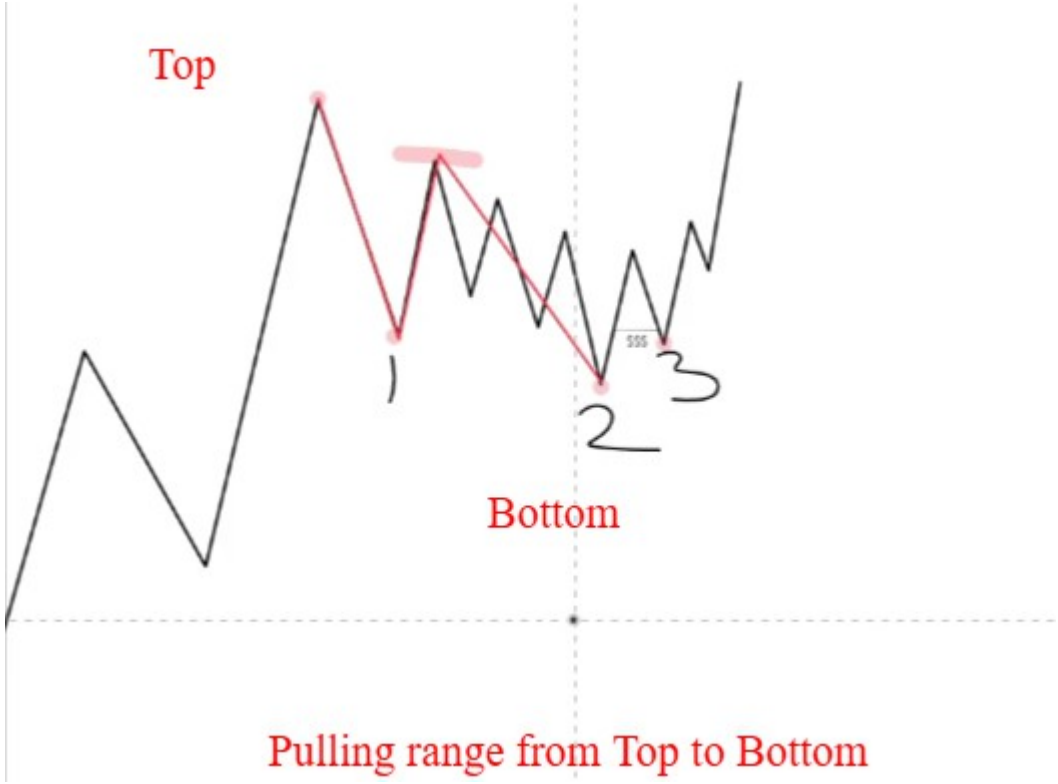
(48:04) low and your range low they can be different especially when we're talking about a re-accumulation okay so when we're re-accumulating that means that we're trending up okay we're trending up and then we form for example a range okay let's say we're trending up and then we form a range well we're trending up so you'll pull your range from top to bottom okay and then you have your range low and you have your Range High and if the deviation one and then we extend it down and then you have that higher low and this higher low meets other the



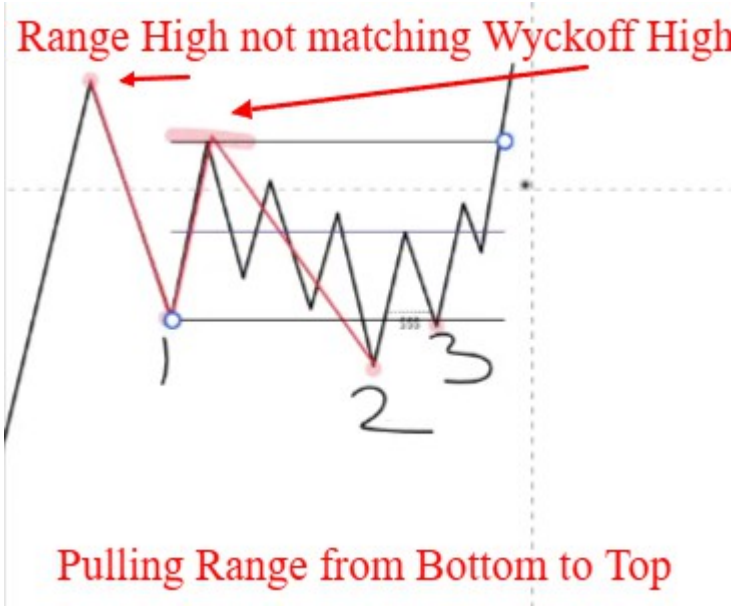
(48:48) requirements because it takes extreme liquidity okay we have to target our Wyckoff high what is the Wyckoff high the Wyckoff high is simply the highest point of the Wyckoff accumulation schematic so this is our tap one this is our tap two this is our tap three one two and three what's the highest point of this entire schematic that's right here



and we also know we also know that you can pull your structure from the low up but also from top to bottom like this



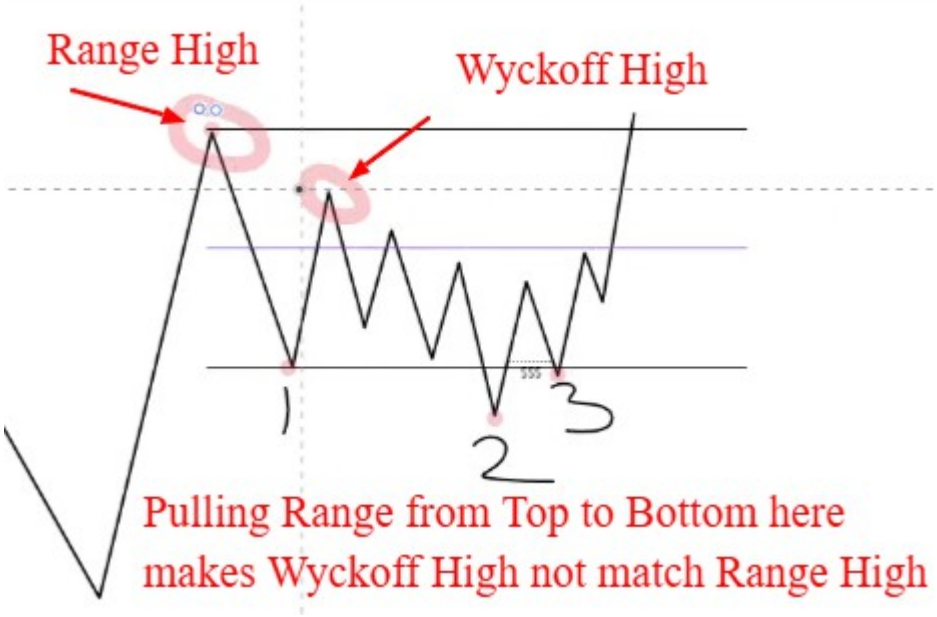
right so when my Wyckoff high is not matching my Range High I'll pull my
(49:42) structure locally from bottom to top making my range from low to high



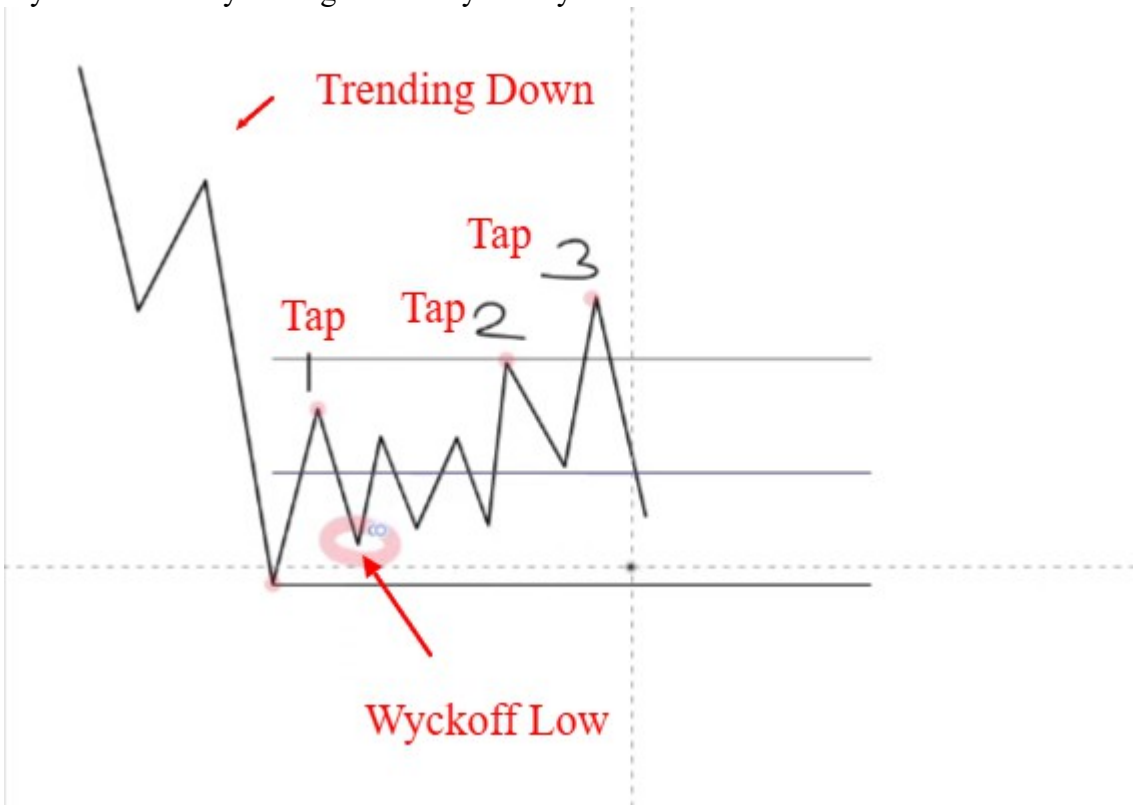
and then my range high is yet again meeting my Wyckoff high but the Target is always the Wyckoff high so it's the target is basically the highest point between tap one and two so we have tap one we have tap two this is the highest point

but when we're in a re-accumulation right we are trending up so on a macro time frame or on a higher time frame you can pull your range from top the bottom but in that sense the highest point between tap one and tap two is here it's not

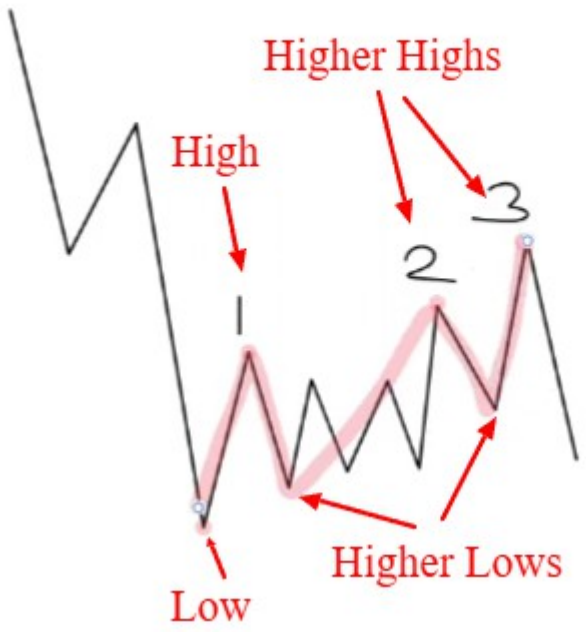
(50:18) matching your Range High



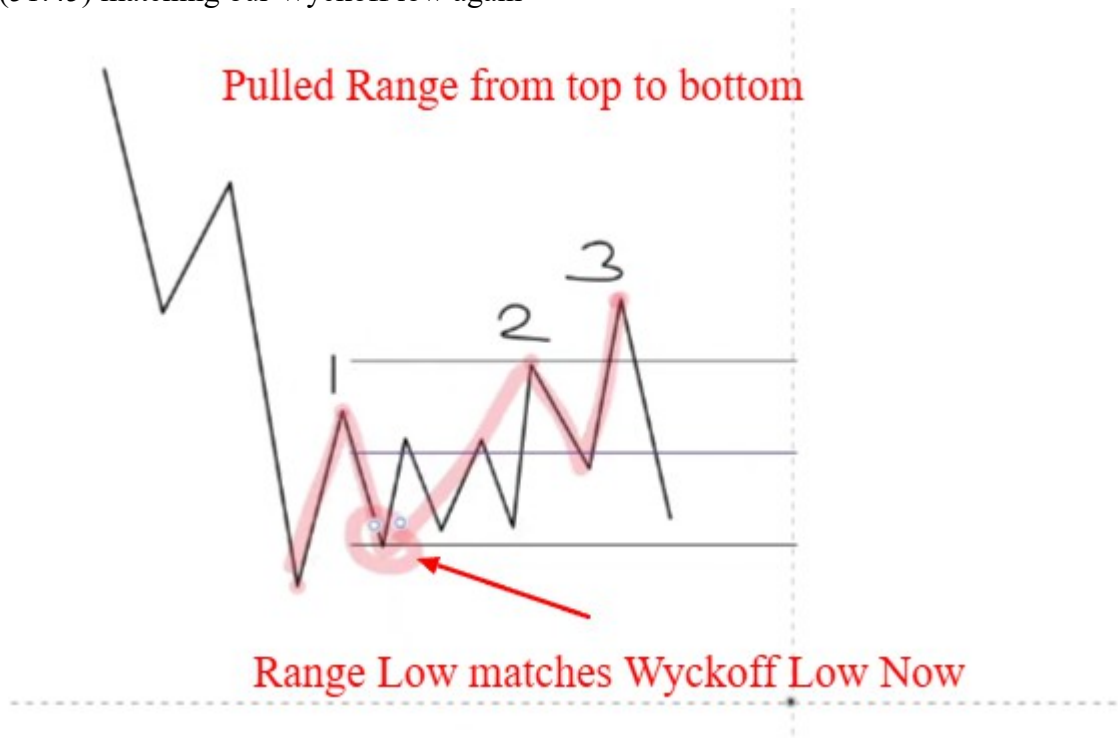
and you have to be aware it's always the Wyckoff high that's the Target and not then the Range High in a re-accumulation and the same goes go for a re-distribution so when we're trending down when we're trending down and then we start creating a massive range where you take the high just like this okay meaning we're in a downtrend so we pull our range from bottom to top this is that deviation one we extended this is this is that deviation to okay this is your one this is your two this is your (51:06) three okay what's the lowest point between tap one and tap two that's right here that's your Wyckoff low okay this right here is your Wyckoff low



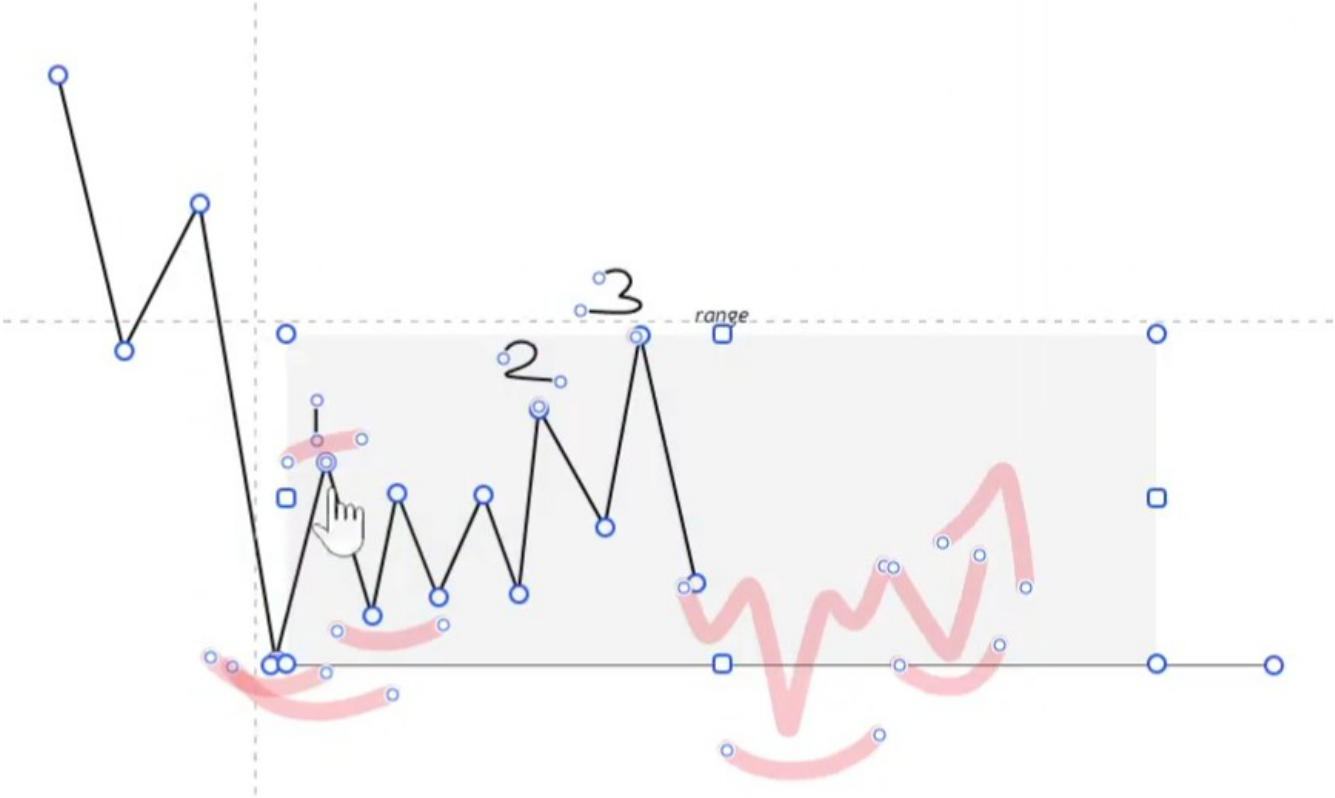
your Wyckoff low is not matching your range low now but what we also know is that locally to get from point A to point B you need some sort of upward structure if you don't know about ranges right so knowing our upward structure we have a low, high, higher low, higher high, higher low, higher high



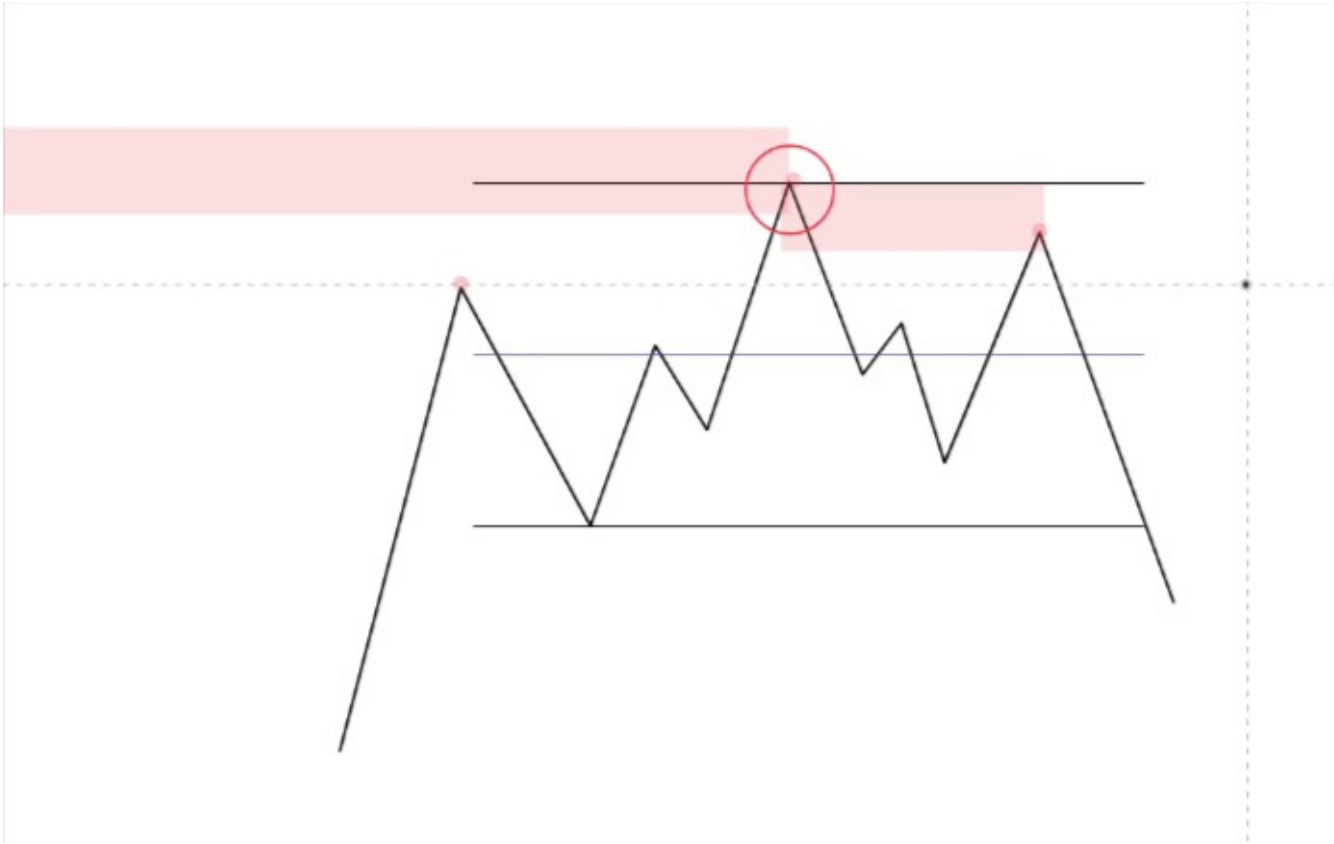
we can pull a range from top to bottom now because in the uptrend you pulled from top to bottom and now our range low is
(51:45) matching our Wyckoff low again



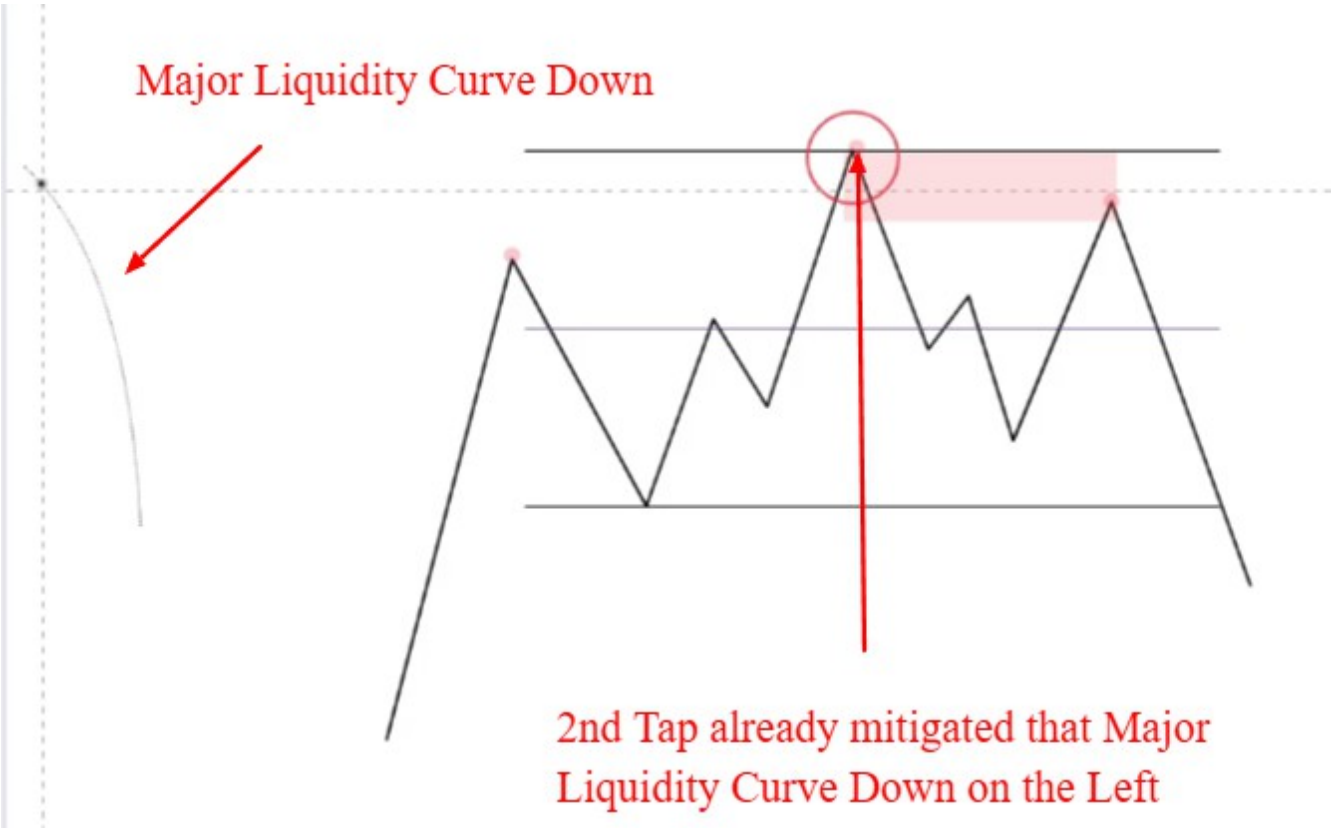
so that's what I kind of like to do in re-distribution and re accumulations and then you know once we take that actual Mark sh low this can become a new range right this distribution could have met its Target and now we can look at this entire range where maybe from here we start you know accumulating bigger but this is our tap one and then we do something like this tap two tap three and higher we go okay but in that re-distribution I'm paying attention to this low and that high not this



(52:20) low okay lastly I've also been getting a lot of questions of of people already follow me for a while and they're asking me when can we expect a model one to occur and when can we expect a model two to occur well it doesn't really matter that's the first thing I want to say it doesn't really matter if we have a model one or two let's say we have a distribution that's a model two there is a way where you can kind of already get an incentive of which one it's going to be but let's say we have a one we have a two we have a
(53:07) three that's extended this uh mitigated extreme Supply making it valid let's say we have a model we have a TCT model two distribution here when looking at if it's going to be a one or two or try or really you know getting an indication of of when we can expect a model two or a model one we have to look at what did the second tap do it all comes down to the second tap if on the left we had a very good looking order block and we came into a crucial area on the chart where we can expect a lower high and we mitigated all Supply in the
(53:45) left on that second tap

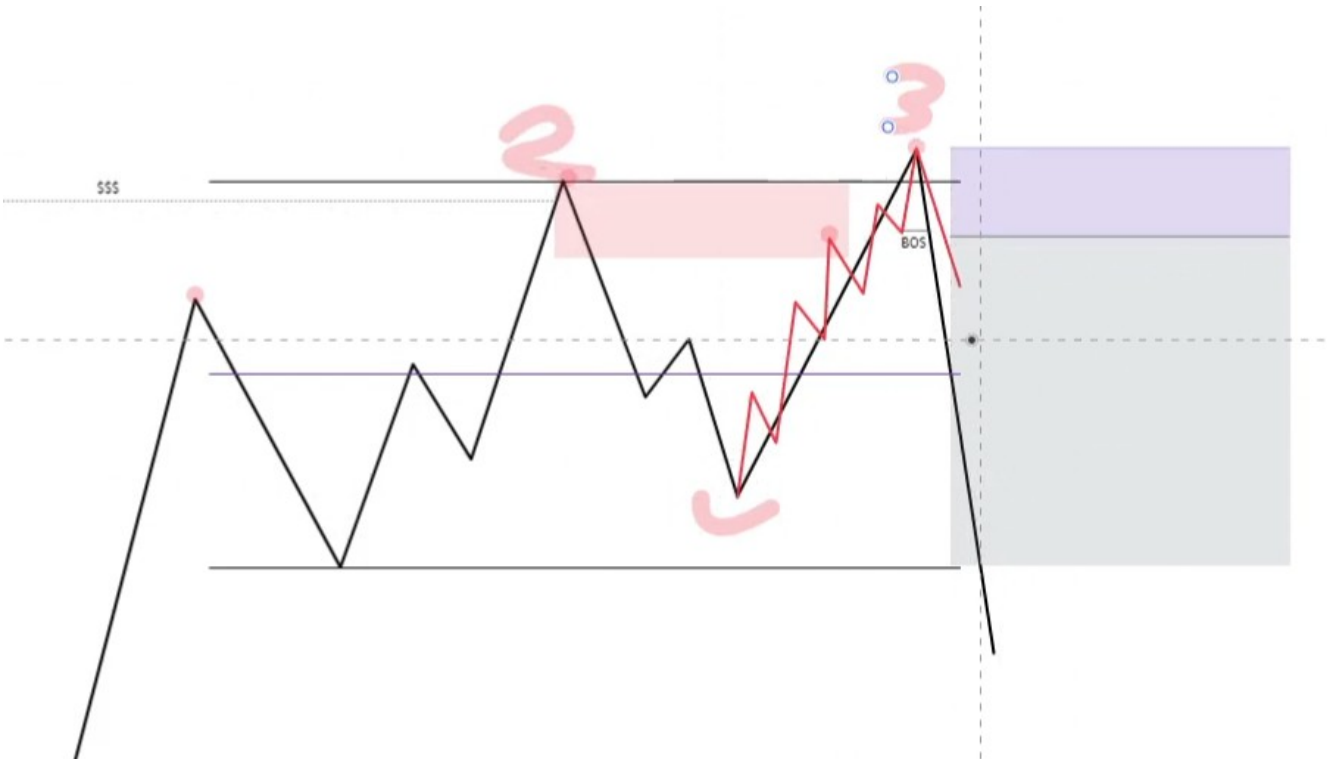


there's not really an incentive to take that high out one more time why would it have to take out that high one more time we already mitigated all Supply on the left right so that's when you can kind of expect a model two and the same goes for a liquidity Point let's say we had a major curvature of liquidity here on the left we with a major curvature of liquidity right here major curve of liquidity down or this was the top of the liquidity and then that second tap grabbed all that liquidity on the
(54:18) left

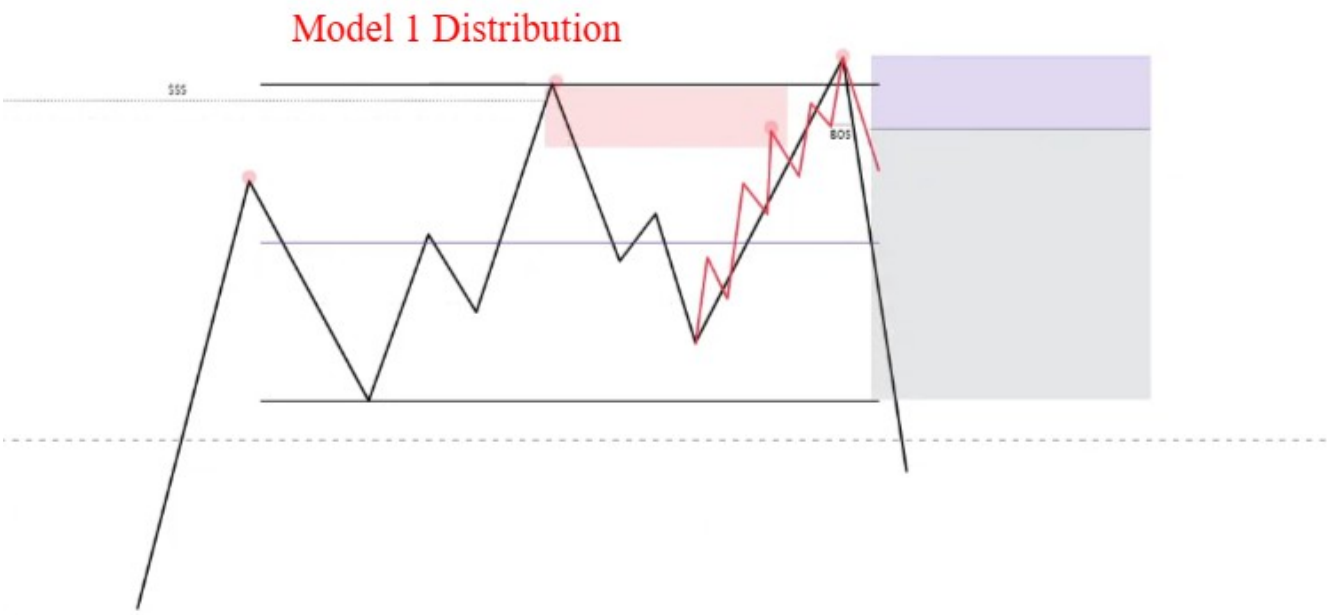


there's not really an incentive to take out that high one more time because why there's nothing here left on the chart right it could have already made at all it needed to have or all it needed to mitigate on that massive liquidity sweep so if your second tap sweeps massive liquidity on the left or you know mitigates um extreme Supply on the left just good-look Supply you can kind of expect a model to because not really an incentive to take out that high one more time but either way either way if you are

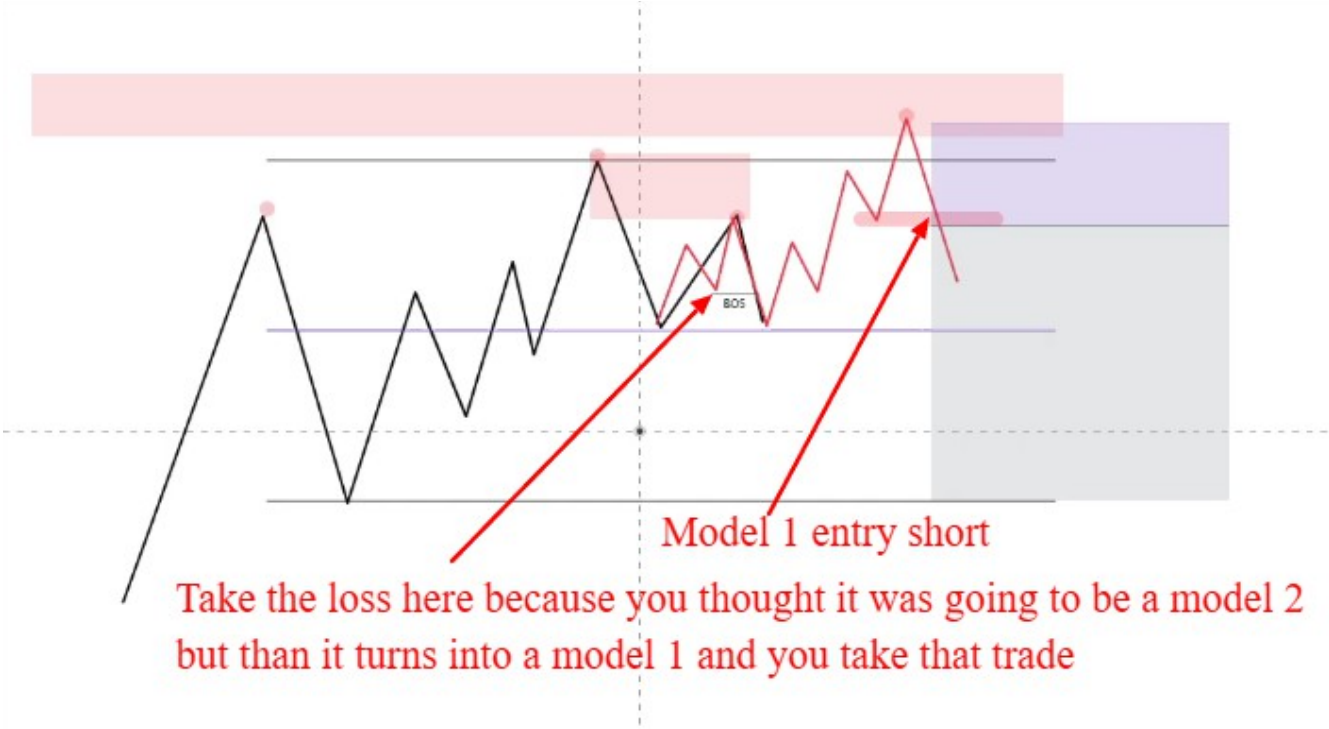
(54:51) expecting a model 2 but you're watching that structure but that structure doesn't break back the bearish right it can just be a model one



okay it can just be a model one because you have to wait for that structure to break back to bearish if that structure breaks back to bearish when you are putting in a lower high meeting the third type requirements for a model two you have a model two distribution that's confirmed if you do not break the structure and you take out the high one more time well yeah you may expect it a
(55:26) model two but you don't trade expectations you trade confirmations right and that we just trade as the model one

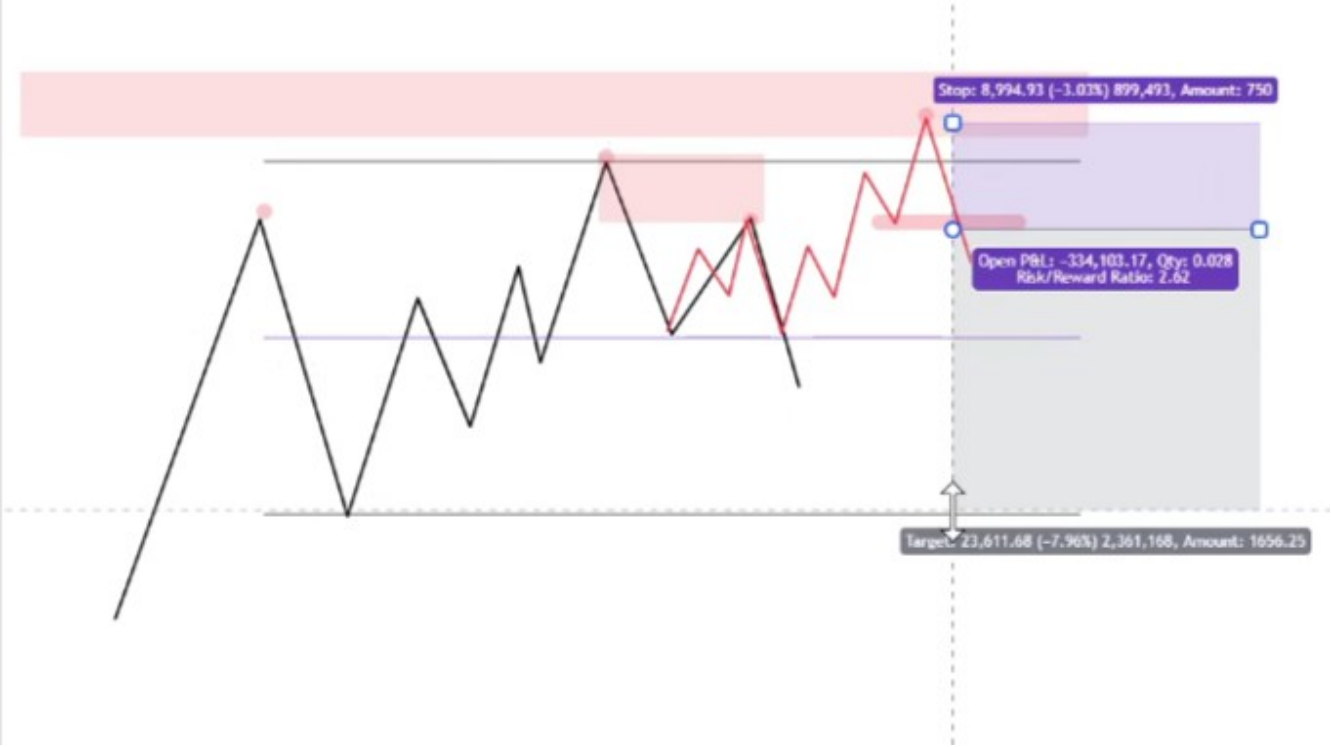


and you can just argue that yeah we we we grabbed a massive point on the left here but it just wanted to grab more right same goes for an accumulation it doesn't really matter you have to watch that structure from the from the from the low up from your second tap and your third tap that lowest point towards that third T High you have to wait for that to break back to bearish now I do want to point one thing out before we end
(55:59) this lecture and we go into the examples in lecture 5B that the losses I have taken okay the losses I have taken while trading TCT schematics most of the time if I take a loss it doesn't happen that often but when I take a loss and I'm trading a model two okay when I'm trading a model two and I take a loss it is often times that there was still something remaining up here right there was still something remaining up here and we had R1 and we had R2 and we had our three and that third tap met all the requirements okay and we got that break
(56:42) of structure confirming the model two and I'll take the short but price ends up coming back up mitigating that Supply Zone that was remaining above that Range High making a model one and from there we have a confirmed model one so from the losses I take it's often times a loss that turns into a w you take the L here because you thought it was going to be a model two but then it turned into a model one



and that's completely fine you have to execute like a robot we also have a section here in the mentorship where

Model 1 Distribution Short Setup:



(57:18) we're going to talk about trade management and trade execution and trading psychology but be aware that often times when the model 2 fell it's because it wants to be a model one because maybe there was something remaining here okay so there we're just a few three extra points I wanted to point out regarding TCT schematics this lecture ship or this lecture of the mentorship is cut in two parts it's all going to be more clear in uh lecture 5B where we will be uh going over TCT schematics in multiple live examples so everything will be clear

(57:54) regarding model ones and model twos accumulation schematics and distribution schematics so hope you guys enjoyed the lecture hope it was clear for all of you and you guys understand it now I'll see all of you in lecture 5B peace out